

4

Presentation of Financial Statements

**SPOTLIGHT**BASF www.basf.com

BASF is the world's leading chemical company, with more than 112,000 employees and about 350 production sites worldwide, including six *verbund*, integrated or linked, production sites. Its portfolio ranges from chemicals, plastics, and performance products to crop protection products, oil, and gas. Through science and innovation, BASF enables its customers across industries to meet the current and future needs of society. Its products and system solutions contribute to conserving resources, ensuring healthy food and nutrition, and helping to improve the quality of life. BASF has summed up this contribution in its corporate purpose: "We create chemistry for a sustainable future." ●

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For the last 20 years, the Report Watch (www.reportwatch.net) has been running an annual competition to select the best annual reports. Annual reports are rated from a “D” (uncompetitive) to “A+” (first rate). BASF’s annual reports have consistently received an “A” rating, and in fact was judged to have the Best Annual Report in 2011. It scored well on a number of criteria including overall package, highlights, strategy and communications, and financial and accounting disclosures.

BASF’s annual reports, together with other disclosures on its investors’ relations website, communicate important financial information and management reviews of the business to over 500,000 BASF shareholders around the world. In the first three chapters you have seen extracts of financial statements contained in the annual reports of Alibaba, Daimler, and Richemont.



Ndoeljindoe/Shutterstock

This chapter will give you an appreciation of how financial statements are presented and communicated to users. You will be introduced to the major sections of an annual report. Annual reports vary from company to company, year to year, but their overall structure remains largely the same. We will also cover some of the key principles related to presentation of financial statements (with the exception of Statement of Cash Flows, which is covered in Chapter 11).

LEARNING OBJECTIVES

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| <p>1 Appreciate the role of annual reports as a communication tool</p> <p>2 Know the general presentation requirements of financial statements</p> <p>3 Understand presentation requirements for Statement of Financial Position</p> | <p>4 Understand presentation requirements for Statement of Comprehensive Income</p> <p>5 Understand presentation requirements for Statement of Changes in Equity</p> <p>6 Evaluate a company's short-term liquidity</p> |
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APPRECIATE THE ROLE OF ANNUAL REPORTS AS A COMMUNICATION TOOL

A search on Google for “annual report” yields over a billion entries. In the world of electronic information and communication, **annual reports** are the top source of information for shareholders, lenders, potential investors, and many other stakeholders. Annual reports are used to project and share a vision, and with the ease of distribution via the Internet, they serve as an important element of any entity's communication with all its stakeholders. Annual reports provide readers with information on a company, ranging from company visions, goals, and strategies, to its financial statements and other required or compulsory disclosures (depending on jurisdictions). If you read a series of the same company's annual reports, you can often construct a story about how a particular business venture is doing, how the company has grown or declined, or how its management team and strategy have changed throughout the years.

Annual reports are not limited to commercial entities. Many nonprofit organizations, charities, and other welfare organizations also publish some form of annual publications to connect with their various stakeholders. As these entities do not have shareholders or investors that you would normally associate with commercial entities, their annual reports may differ slightly from corporate annual reports. For example, Médecins Sans Frontières (www.doctorswithoutborders.org), CARE (www.care.org), and Oxfam (www.oxfam.org) all publish annual reports with financial statements. In many countries, even governments, including their ministries and regulatory authorities, publish annual reports.

Sometimes companies will highlight a particular creative theme for one financial year and, thus, will structure their report to fit this theme. For example, Podravka, a food and beverage company headquartered in Croatia, included a cookbook with its 2006 annual report that had to be baked (at 150°C for 25 minutes) to make the thermoreactive ink permanently readable. Austria Solar, an association for the promotion of thermal solar energy in Austria, created a big buzz online for its 2011 annual report that must be read in sunlight. Exhibit 4-12 is an example of a cover template used for creating Annual Reports for various organizations.

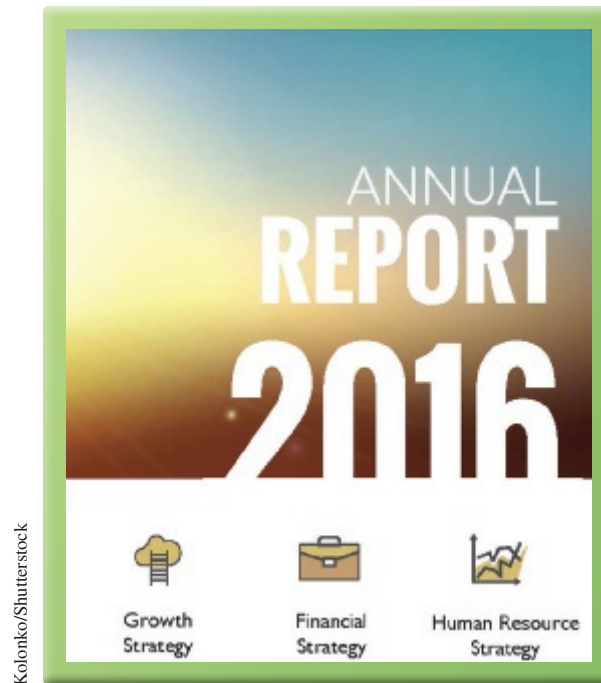
- 1 Appreciate** the role of annual reports as a communication tool



Substance Over Style

You should not judge a company by the artistic value of its annual report, and it clearly should not be the basis for deciding whether or not you would invest in a particular company. This would be like saying you will invest in companies that have impressive websites. No matter how slick and impressive an annual report may look, you must remember that it is the substance that matters. The audited financial statements are the substance of annual reports. This, not attractive pictures or glossy prints, should be the basis of your decision making.

For an example of the minimalist approach, look no further than Berkshire Hathaway, Warren Buffett's investment holding company. Its corporate annual report is the basic Form 10K (see A

Exhibit 4-1 Annual Report Cover Template

Closer Look on page 212), which you can download from its even more minimalist website (www.berkshirehathaway.com). No pictures, no fancy animation or videos, just straightforward company information.

Obtaining Annual Reports

Traditionally, annual reports are hard copy reports that are only sent to shareholders (and those who request them directly from the company). With advances in information technology and connectivity of the Internet, virtually everyone now can obtain an electronic copy of annual



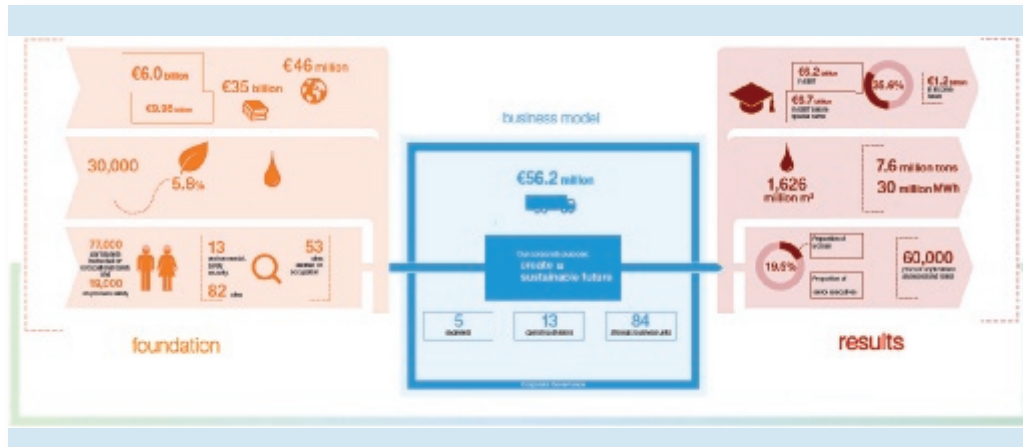
A Closer Look



You may find some companies talk about their “Integrated Report” instead of an annual report. Integrated reporting is a recent move towards a “concise communication about how an organization’s strategy, governance, performance, and prospects lead to creation of value over the short, medium, and long term” (as defined by the Integrated Reporting Council, www.integratedreporting.org). An integrated report seeks to bring together how firms create values from its various capitals (not only financial capital but also manufactured, human [social and relationship], intellectual, and natural capital). You can think of it as an annual report that tries to show you a bigger, more complete picture, instead of just focusing on financial reporting.

You can find out more about integrated reporting from the website mentioned earlier, including a quick animated explanation of integrated reporting at <http://integratedreporting.org/wp-content/uploads/2016/12/ACCA-Integrated-Reporting-M4V.m4v>.

The following image is an example of what an integrated report may look like and how companies, like BASF, articulate their value creation process.



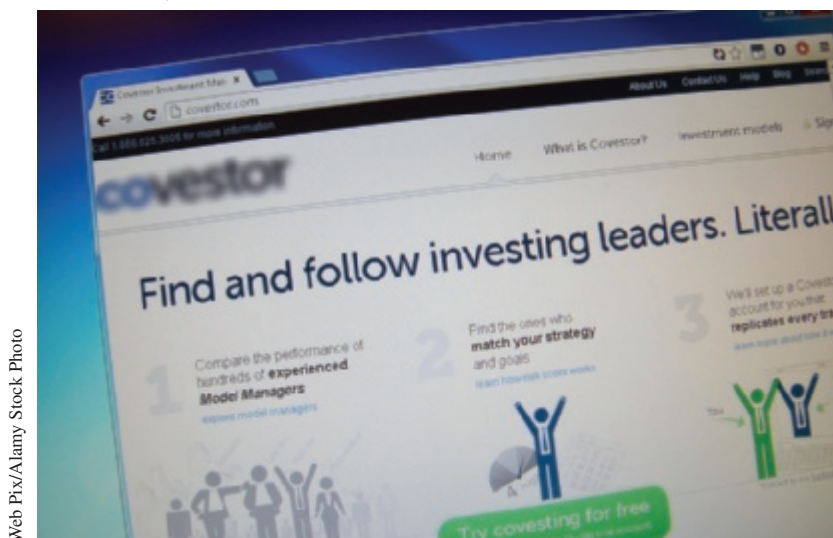
reports of any public companies online. With search engines such as Google or Bing, it is usually easy to find the websites of the companies you are interested in. Many companies have now developed “web versions” of their annual report, which allows for better navigation, use of digital media, and interactivity.

Note that some businesses separate their “corporate website” from their “consumer website.” The corporate website is where you will find company and financial information pertinent to you, the investor or potential investor, whereas the consumer website is where the company showcases its product and services offerings to the consumer. With many websites now making use of location-based data, sometimes you may be redirected to your local, country, or region consumer website by default. You will have to specifically navigate to the company’s corporate website in order to obtain financial statements. For example, for Sony Corporation, if you go to www.sony.com, you will arrive at the consumer side (either a global or local site, depending on your physical location), whereas www.sony.net will direct you to Sony’s corporate website.

Many companies are now dedicating more resources to connect with their shareholders through a specific section of their websites, typically labeled “Investors” or “Investor Relations” (see Exhibit 4-2).



Exhibit 4-2 | An Investor Relations Landing Page

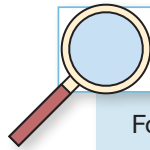


Web Pix/Alamy Stock Photo

For example, BASF's "investor relations" page offers investors company information, financial news and reports, a calendar of events, and other share holder-related information. You can read its financial reports online, even build your own charts, and download financial statements in spreadsheet formats. We will refer to various parts of BASF's 2015 annual report in this chapter, so it may be worth your while to download a copy of the report as you read this chapter.



In countries where the securities authority has a reporting repository, you can go to one common place to obtain all information about all companies trading in the country. The biggest such repository is that of the United States' Securities and Exchange Commission (SEC) at www.sec.gov/edgar.shtml. You can even download financial statements in XBRL (eXtensible Business Reporting Language) or spreadsheet formats.



A Closer Look

For SEC registrants, financial filings are referred to by their form numbers. For example, "Form 10-K" and "Form 10-Q" refer to annual and quarter filings, respectively. There are many others, such as:

- Form 1 for the offering of securities, typically for initial public offerings or additional securities issuances
- Form 4 for material changes in the holding of company securities by "insiders" (major shareholders, company executives)
- Form 8-K for important material events or corporate changes of high importance such as major asset acquisition or disposal, appointment or resignation of directors, etc.
- Form S-4 for important events related to mergers and acquisitions.

While these forms contain significant financial information, they are highly structured and largely dictated by the SEC's regulatory requirements. They are quite different from the typical annual reports that you will see in other parts of the world. Many U.S. companies produce annual reports in addition to their regulatory filings.

As filing requirements may differ from one country to another, your instructor may direct you to specific issues related to corporate reporting in your jurisdiction.

Typical Structure of an Annual Report

For some companies, the primary purpose of an annual report is to meet legal requirements. Consequently, they only focus on compliance and do not invest much in corporate reporting. Small private companies' annual reports, for example, primarily consist of financial statements and their accompanying notes. The larger the company and the more investors (or in some cases, creditors) it has, the more likely you will see more content in the annual report.

Regardless of their creative themes, annual reports must meet requirements as dictated by the regulatory authority and, in the case of listed companies, the stock exchange's **listing requirements**. You can visit your local stock exchange and check out its listing requirements or listing manual. It would most probably contain many disclosure items beyond the scope of this text, but it should give you an idea of the importance of communicating financial information and events to investors and potential investors.

Typically, an annual report has the following structure:

- corporate information
- analysis and commentaries
- other statements or disclosures
- financial statements

The BASF 2015 annual report has the following top-level headings in its table of contents: To our shareholders, Management Analysis, Corporate Governance, Financial Statements, and Supplementary Information.

Corporate Information

Companies provide various kinds of corporate information to their shareholders. For example, they could include information related to the history of the company, members of the board of directors and key management personnel, organizational structure of key subsidiaries or affiliates (more on this in Chapter 8), key markets and products, major events during the financial period (such as mergers and acquisitions, or disposal of business units), awards and accolades received, operating statistics, financial highlights, and any other general information about the company that may be useful to a reader's understanding of the company. You will not find all these examples in one single section, and different companies might present different items. For example, companies like BASF provide an introduction to its various business segments, as illustrated in Exhibit 4-3.

Exhibit 4-3 Segment Information

	Chemicals The Chemicals segment comprises our business with basic chemicals and intermediates. Its portfolio ranges from solvents, plasticizers, and high-volume monomers to glues and electronic chemicals as well as raw materials for detergents, plastics, textile fibers, paints and coatings, crop protection, and medicines. In addition to supplying customers in the chemical industry and numerous other sectors, we also ensure that other BASF segments are supplied with chemicals for producing downstream products.
	Performance Products Our Performance Products lend stability, color, and better application properties to many everyday products. Our product portfolio includes vitamins and other food additives in addition to ingredients for pharmaceuticals, personal care and cosmetics, as well as hygiene and household products. Other products from this segment improve processes in the paper industry, in oil, gas, and ore extraction, and in water treatment. They furthermore enhance the efficiency of fuels and lubricants, the effectiveness of adhesives and coatings, and the stability of plastics.
	Functional Materials and Solutions In the Functional Materials and Solutions segment we bundle system solutions, services, and innovative products for specific sectors and customers, especially the automotive, electrical, chemical, and construction industries, as well as for household applications, and sports and leisure. Our portfolio comprises catalysts, battery materials, engineering plastics, polyurethane systems, automotive and industrial coatings, and concrete admixtures as well as construction systems like tile adhesives and decorative paints.
	Agricultural Solutions The Agricultural Solutions segment provides innovative solutions in the areas of chemical and biological crop protection, seed treatment and water management as well as solutions for nutrient supply and plant stress. Our research in plant biotechnology concentrates on plants for greater efficiency in agriculture, better nutrition, and use as renewable raw materials.
	Oil and Gas We focus on exploration and production in oil and gas-rich regions in Europe, North Africa, Russia, South America, and the Middle East. Together with our Russian partner Gazprom, we are active in the transport of natural gas in Europe. At the end of the third quarter in 2015, we exited the natural gas trading and storage business, which we previously operated together with Gazprom, and, in exchange, we are expanding our oil and gas production in western Serbia.

Analysis and Commentaries

Like many other annual reports, the BASF 2015 annual report's first major item is the "Letter from the Chairman of the Board of Executive Directors." Depending on the organizational structure (and local practice), you may see the title President used in place of **Chairman**. You can read Dr. Kurt Block's (BASF's chairman of the board of directors) letter to shareholders on pages 9–11 of the BASF 2015 annual report. It talks about achievements in the financial year, returns to shareholders, and the key focus or goals for the future.

ADAPTED EXCERPTS FROM BASF'S ANNUAL REPORT

Excerpt from the Letter from the Chairman of the Board of Executive Directors

Dear Shareholder,

As this report goes to print, we are looking back at one of the most turbulent starts to the year for decades. At times, oil prices fell to below \$27 per barrel—the lowest level since 2003. In 2015, oil prices averaged \$52 per barrel, almost half the previous year's figure. This price slump reflects not only an oil surplus but also a slowdown in global economic growth, especially in emerging markets. Our share price has also suffered from these developments. Since the beginning of the year it has fallen significantly to below €60 and is thus substantially lower than the peak of nearly €97 in April 2015.

These figures underline the level of uncertainty about the future performance of the global economy. This raises some legitimate questions: How will demand for chemical products develop? What will be the impact if oil prices remain low for any length of time? How does one steer a company like BASF in such turbulent and challenging times?

[and so on]

Yours,

Kurt Block

Source: BASF, Annual Report 2015, page 9

The next set of commentaries is from the company's management. Before we go further, perhaps it is useful to explain how corporations, especially public or listed companies, structure themselves organizationally. The ultimate control of the company rests with shareholders, who appoint a **board of directors** to provide oversight of the company. The board, in turn, hires a management team to run the company. Of course, in many instances, an individual may be a shareholder, a member of the board of directors, and a CEO of the company. We discuss corporate structure later in more detail (in Chapter 10, for example, see Exhibit 10-2). For now, let's just take it that a board of directors means shareholders' representatives overseeing a management team that runs the company.

The objective of such commentaries is to provide users with an understanding of the company via an analysis of the company's businesses as seen through the eyes of the directors and management. These commentaries serve to facilitate assessment of the company's business and business objectives, its principal drivers of performance, the dynamics of the business, and the financial performance and condition of the company.

Thus, the management analysis and commentaries are basically management's explanations to shareholders of how the company has performed during the year. In some parts of the world, this set of commentaries may be known as "MD&A" (Management Discussions and Analysis) or "OFR" (Operating and Financial Review), or something similar. Typically,

management would explain the performance of various products or segments of the company, the status of the company's strategic initiatives or projects, and plans or goals for the upcoming financial year.

BASF's management analysis is extremely comprehensive (see pages 21 to 126 of its 2015 annual report). It describes its view of the trends in the global economy and the industries it operates in, the performance of its business segments (chemicals, plastics, performance products, functional solutions, agricultural solutions, and oil and gas), and geographical regions. It also describes BASF's corporate social responsibility to its employees and the society, and its commitment to the environment and overall safety. It even provides the management's outlook for the future.

ADAPTED EXCERPTS FROM BASF'S ANNUAL REPORT

Management's Report: Results of Operations

In 2015, the market environment continued to be volatile and challenging. Growth rates for the global economy, industrial production, and the chemical industry all lagged considerably behind our expectations. The economic environment deteriorated in important emerging markets, especially China. The sharp drop in the price of oil led to falling prices for basic chemicals in particular. The divestitures completed in 2015 also put a strain on both sales and income from operations (EBIT) before special items. Impairments in the Oil & Gas segment resulting from the reduced forecast for oil and gas prices led to considerably lower EBIT. In light of these factors, our overall business development remained behind our expectations.

Source: BASF, Annual Report 2015, page 52

Other Statements and Disclosures

This varies from one jurisdiction to another, but you will always find disclosures related to corporate governance. **Corporate governance** refers broadly to a set of principles adopted or practiced by organizations in order to ensure a clear corporate direction, responsibility, and accountability of those managing the organization. Typically, it prescribes matters such as the composition, duties, and responsibilities of the board of directors, oversights of management, and its dealings with shareholders.

BASF's corporate governance disclosures are on pages 129 to 147 of its 2015 annual report. The introduction to that section is shown below.

ADAPTED EXCERPTS FROM BASF'S ANNUAL REPORT

Corporate Governance Report

Corporate governance refers to the entire system for managing and supervising a company. This includes the organization values, corporate principles and guidelines, as well as all internal and external regulatory and monitoring mechanisms. Effective and transparent corporate governance guarantees that BASF is managed and monitored in a responsible manner focused on value creation. This fosters the confidence of our domestic and international investors, the financial markets, our customers, other business partners, employees, and the public in BASF.

Source: BASF, Annual Report 2015, page 129

A key part of any corporate governance framework is internal control. We will provide an introduction to internal control in Chapter 5.

Other statements and disclosures may include a compensation report for directors and the senior management team, economic-value added or EVA statements (more on this in Chapter 12), and sustainability and/or environmental reporting (often referred to as corporate social responsibility). An example of BASF's extensive "Safety, Security, Health and the Environment" disclosure is shown in the following adapted excerpt.

ADAPTED EXCERPTS FROM BASF'S ANNUAL REPORT

Safety, Security, Health and the Environment

Safety Security and Health		2015	2014	Change in %
Transportation incidents with significant impact on the environment		0	1	(100)
Process safety incidents	per one million working hours	2.1	2.2	(4.5)
Lost-time injuries	per one million working hours	1.4	1.5	(6.7)
Health Performance Index ¹		0.97	0.91	6.6
Environment				
Primary energy use ²	million MWh	57.3	59.0	(2.9)
Energy efficiency in production processes	kilograms of sales product/MWh	599	588	1.9
Total water withdrawal	million cubic meters	1,686	1,877	(10.2)
Withdrawal of drinking water	million cubic meters	22.1	22.7	(2.6)
Emissions of organic substances to water ³	thousand metric tons	17.3	18.7	(7.5)
Emissions of nitrogen to water ³	thousand metric tons	3.0	3.2	(6.3)
Emissions of heavy metals to water ³	metric tons	25.1	21.5	16.7
Emissions of greenhouse gases	million metric tons of CO ₂ equivalents	22.2	22.4	(0.9)
Emissions to air (air pollutants) ³	thousand metric tons	28.6	31.5	(9.2)
Waste	million metric tons	2.0	2.1	(4.8)
Operating costs for environmental protection	million €	962	897	7.2
Investments in environmental protection plants and facilities	million €	346	349	(0.9)

¹ For more information, see Production. <http://bericht.basf.com/2015/en/managements-report/responsibility-along-the-value-chain/safety-security-health-and-environment/production.html>

² Primary energy used in BASF's plants as well as in the plants of our energy suppliers to cover energy demand for production processes

³ Excluding emissions from oil and gas production

Source: BASF, Annual Report 2015, <http://bericht.basf.com/2015/en/shareholders/key-data.html>

Financial Statements

Typically the financial statement section starts with an acknowledgement by directors and management that they are responsible for the financial statements, followed by an auditor's report and the full set of financial statements.

ADAPTED EXCERPTS FROM BASF'S ANNUAL REPORT

Statement by the Board of Executive Directors and Assurance Pursuant to Sections 297(2), Section 315(1) of the German Commercial Code (HGB)

The Board of Executive Directors of BASF SE is responsible for preparing the Consolidated Financial Statements and Management's Report of the BASF Group.

The Consolidated Financial Statements for 2015 were prepared according to the International Financial Reporting Standards (IFRS), which are published by the International Accounting Standards Board (IASB), London, and have been endorsed by the European Union.

We have established effective internal control and steering systems in order to ensure that the BASF Group's Consolidated Financial Statements and Management's Report comply with applicable accounting rules and to ensure proper corporate reporting.

The risk management system we have set up is designed to identify material risks early on and take appropriate defensive measures as necessary. The reliability and effectiveness of the internal control and risk management system are continually audited throughout the Group by our internal audit department.

To the best of our knowledge, and in accordance with the applicable reporting principles, the Consolidated Financial Statements of the BASF Group give a true and fair view of the net assets, financial position, and results of operations of the Group, and the Management's Report includes a fair review of the development and performance of the business and the position of the BASF Group, together with a description of the principal opportunities and risks associated with the expected development of the BASF Group.

Source: BASF, Annual Report 2015, page 155

A statement of responsibility, such as the one you just saw, is also an important element of corporate governance. It clearly spells out that preparation of financial statements is not just the job of the chief financial officer or the accounting or finance department. As financial statements (and their integrity) are crucial to all stakeholders in a company, it is of utmost importance that everyone in the company, regardless of job functions, lives up to their responsibility.

Another key element of ensuring the integrity of financial statements is the audit requirement imposed on all listed companies. The requirement for an audit of financial statements is legally imposed by the respective jurisdiction's corporation or company law. Companies engage *external auditors*, who are completely independent of the business. They are hired to determine whether or not the company's financial statements are in compliance with generally accepted accounting principles. Auditors examine the client's financial statements and the underlying transactions in order to form a professional opinion on the accuracy and reliability of the company's financial statements. This opinion is contained in an **auditor's report**, which provides an independent professional opinion to the company's shareholders that the company's financial statements were prepared in accordance with stipulated standards and represent a true and fair reflection of the company's performance. An audit report is usually addressed to the board of directors and shareholders of a company. A partner of the auditing firm signs the firm's name to the report.

KPMG, one of the "Big 4" accounting firms, is the auditor for BASF. The other members of the "Big 4" are Deloitte, Ernst & Young (EY), and PricewaterhouseCoopers. Together, they command a large share of the audit market, especially those of larger, listed multinational companies. KPMG arrives at an opinion after conducting its audit procedures in accordance to required auditing standards. Let's have a look at KPMG's audit report on BASF's financial statements.

ADAPTED EXCERPTS FROM BASF'S ANNUAL REPORT

Auditor's Report

We have audited the Consolidated Financial Statements prepared by BASF SE, Ludwigshafen am Rhein, Germany, comprising the statement of Income, Statement of income and expense recognized in equity, Balance Sheet, statement of cash flows, statement of equity and the notes to the Consolidated Financial Statements, together with the Group Management's Report for the business year from January 1 to December 31, 2015. The preparation of the Consolidated Financial Statements and the Group Management's Report in accordance with IFRS as adopted by the European Union (EU), and the additional requirements of German commercial law pursuant to Section 315a(1) of the German Commercial Code (HGB) are the responsibility of the parent company's management. Our responsibility is to express an opinion on the Consolidated Financial Statements and on the Group Management's Report based on our audit. In addition, we have been instructed to express an opinion as to whether the Consolidated Financial Statements comply with full IFRS.

We conducted our audit of the Consolidated Financial Statements in accordance with Section 317 HGB and the German generally accepted standards for the audit of financial statements promulgated by the Institute of Public Auditors in Germany (Institut

continued on the following page

der Wirtschaftsprüfer, IDW). Those standards require that we plan and perform the audit such that misstatements materially affecting the presentation of the net assets, financial position, and results of operations in the Consolidated Financial Statements in accordance with the applicable financial reporting framework and in the Group Management's Report are detected with reasonable assurance. Knowledge of the business activities and the economic and legal environment of the Group and expectations as to possible misstatements are taken into account in the determination of audit procedures. The effectiveness of the accounting-related internal control system and the evidence supporting the disclosures in the Consolidated Financial Statements and the Group Management's Report are examined primarily on a test basis within the framework of the audit. The audit includes assessing the annual financial statements of those entities included in consolidation, the determination of entities to be included in consolidation, the accounting and consolidation principles used, and significant estimates made by the Board of Executive Directors, as well as evaluating the overall presentation of the Consolidated Financial Statements and the Group Management's Report. We believe that our audit provides a reasonable basis for our opinion.

Our audit has not led to any reservations.

In our opinion, based on the findings of our audit, the Consolidated Financial Statements comply with IFRS as adopted by the EU, the additional requirements of German commercial law pursuant to Section 315a(1) HGB and full IFRS and give a true and fair view of the net assets, financial position, and results of operations of the Group in accordance with these requirements. The Group Management's Report is consistent with the Consolidated Financial Statements and as a whole provides a suitable view of the Group's position and suitably presents the opportunities and risks of future development.

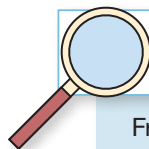
Frankfurt am Main, February 23, 2016

KPMG AG

Source: BASF, Annual Report 2015, page 155

The audit report on financial statements typically contains four sections:

- The first section identifies the audited financial statements as well as the company being audited.
- The second section outlines the respective responsibilities of the company's management as well as the auditor's responsibilities.
- The third section describes how the audit was performed in accordance with the generally accepted auditing standards of the jurisdiction. These are the standards used by auditors as the benchmark for evaluating audit quality (in this case, auditing standards as promulgated by the Institute of Public Auditors in Germany).
- The last section expresses the auditor's combined opinion about the entity's financial statements, remuneration report, and director's report. This may be different in different jurisdictions, depending on the local requirements.



A Closer Look

From 2017, you may see enhanced auditor reports instead of the typical one-page auditor report (similar to the BASF excerpts shown earlier). This enhanced report will provide more disclosure on what the auditors judged as "key audit matters" and how they addressed them during the audit. These matters may include elements such as choice of accounting policies, significant use of accounting estimates, or potential weaknesses in internal controls. There are other changes in the new auditor report, but they are beyond our scope of discussion in this introductory text.

As you can see, KPMG's opinion is that the Consolidated Financial Statements provide a "true and fair view of the net assets, financial position and results of the Group." This is what we call an **unqualified opinion**. It is the highest statement of assurance that an independent auditing firm can express. An unqualified opinion is one that is made without reservation or qualification. In other words, unqualified means the auditors did not qualify the opinion with matters that would require the readers' attention.

A **qualified opinion**, on the other hand, may be issued if, as a whole, the financial statements are fairly presented, except for disagreement on how to treat a particular transaction. Another situation could be where the auditors were not able to complete their planned audit procedures on a particular item or transaction. If the issue is beyond a single item or single transaction, an auditor may issue an **adverse opinion**. This opinion is the opposite of an unqualified opinion, i.e., the financial statements, as a whole, do not fairly represent the company's financial position. In very rare cases, auditors may not even be able to express an opinion due to their inability to complete the audit procedures as required.

If you are an accounting major student, you will learn more about various aspects of auditing in your audit course. Reliable audits are a crucial element of the stability of the financial market. If no one trusts audited financial statements, there will be chaos because you would never buy from, invest in, or loan money to any business.

After an audit report ends, you will find pages containing financial statements and accompanying notes. We will discuss the principles of presentation of these financial statements in the next few sections. Presentation requirements for Statement of Cash Flows will be discussed in Chapter 11.

KNOW THE GENERAL PRESENTATION REQUIREMENTS OF FINANCIAL STATEMENTS

The *Conceptual Framework* (discussed in Chapter 1) states that the objective of financial reporting is to provide financial information, in the form of general purpose financial statements, which is useful to existing and potential investors, lenders, and other creditors when making decisions about providing resources to an entity. Thus, how financial statements are presented is of great importance. For example, how should an entity decide what items to show on its statement of comprehensive income? Is it allowed to combine different types of assets into one account on a Balance Sheet? Can it offset a receivable from and payable to the same counterparty? These general presentation requirements are addressed in *IAS 1—Presentation of Financial Statements*. Let's have a brief look at *IAS 1*.

2 Know the general presentation requirements of financial statements

Complete Set of Financial Statements

A complete set of financial statements comprises:

- a statement of financial position at the end of the period
- a statement of comprehensive income for the period
- a statement of changes in equity for the period
- a statement of cash flows for the period
- notes, comprising a summary of significant accounting policies and other explanatory information

Entities are allowed to use alternative names for the financial statements. For example, the Statement of Financial Position is usually called a Balance Sheet. The first part of a Statement of Comprehensive Income is usually called an Income Statement or a Profit and Loss Statement. The Statement of Comprehensive Income itself is sometimes called a Statement of Recognized Income and Expenses.

These financial statements must be displayed with equal prominence. In practice, this means the financial statements are presented together, one after another. The standard does not prescribe the exact order of how the financial statements should appear. Most companies usually start with either the statement of financial position or statement of comprehensive income,

followed by either the statement of changes in equity or the statement of cash flows, and then the notes to the financial statements. The BASF 2015 financial statements (pages 157 to 161) were in the following order: Statement of Income, Statement of Income and Expense recognized in Equity, Balance Sheet, Statement of Cash flows, and Statement of Equity. Note that BASF uses slightly different names.

In addition, the financial statements must be properly labeled. *IAS 1* requires an entity to clearly identify:

- the name of the reporting entity
- if it is a consolidated or an individual entity's account (see Chapter 8)
- the date of the end of the reporting period or the period covered by the financial statements
- the presentation currency used
- the level of rounding used in presenting the amounts in the financial statements

Fair Presentation and Compliance with IFRS

You saw earlier that BASF and its auditor made references to how the financial statements fairly present the net assets, financial position, and results of operations of the company. Fair presentation requires the faithful representation of the effects of transactions, other events, and conditions in accordance with the definitions and recognition criteria for assets, liabilities, income, and expenses set out in the *Conceptual Framework*. When an entity applies IFRS, with additional disclosure when necessary, it is presumed to result in financial statements that achieve a fair presentation. It cannot selectively apply the standards it likes (and not apply the ones it doesn't like) and proclaim compliance with IFRS.

An entity cannot rectify inappropriate accounting policies either by disclosure of the accounting policies used or by notes or explanatory material. For example, it cannot say it applies a policy that is not compliant with accounting standards, and then offer an explanation as to how the alternative treatment is better than the one under accounting standards, or how the alternative result is not materially different from one that is prepared under proper accounting standards.

Going Concern

We mentioned the going concern assumption earlier (in Chapter 1). Going concern means the entity intends to, and has the ability to, operate into the foreseeable future. When an entity does not have a going concern, financial statements can no longer assume such an ability to operate into the future. The basis for accounting will be completely different from what we would normally do. For example, you can no longer depreciate an item of property, plant and equipment (PPE) because useful lives are no longer relevant if the entity ceases operations.

Accrual Basis of Accounting

We discussed earlier (in Chapter 3) how accrual accounting is better because it properly reflects changes in net assets of an entity, rather than how much cash has gone in and out of an entity. *IAS 1* requires that an entity prepare its financial statements, except for cash flow information, using the accrual basis of accounting.

Materiality and Aggregation

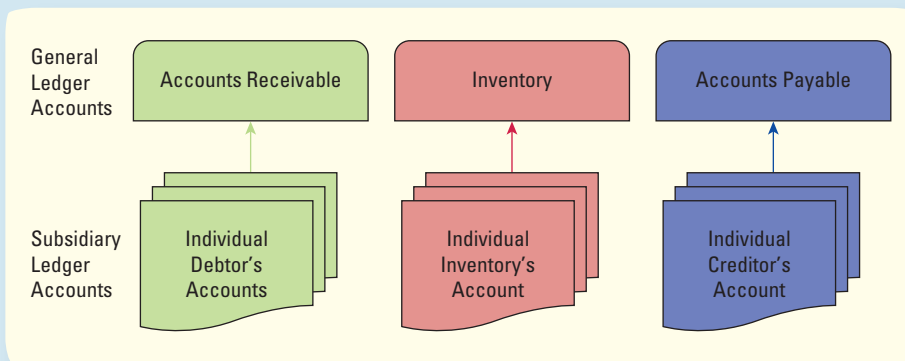
How many accounts do you think a business would utilize in its accounting system? The RedLotus, Inc., example you have worked on earlier (in Chapters 1 to 3) used about 20 accounts (see Exhibit 3-9). It would be easy just to show all these 20 accounts in the financial statements of RedLotus, Inc.

In real life, however, companies use thousands, millions, and even billions of accounts. For every inventory, receivable, and payable, companies will keep track of individual account balances rather than just the total. If a company has 100,000 customers, it will have 100,000 customer accounts in Accounts Receivable. Add another 20,000 suppliers and another 10,000 items on inventory, and you can see how the number of accounts quickly racks up.

A Closer Look

While we have used a single accounts receivable and a single accounts payable in our examples, in real life this is not going to be good enough. Think about it. If you have 100 customers, can you use a single, combined, receivable account to track each customer's credit purchases, returns, and subsequent payments? You clearly need an account for each customer. But if each customer has an account, how big will your chart of accounts be? How are you going to show them all on the trial balance?

Accounting systems make use of two levels of accounts: the control or summary account in the general ledger and its subsidiary accounts (also called subsidiary ledger, or sub-ledger for short). For example, you can see how the accounts receivable below is the control (or summary) account and that it represents the total of all the individual debtors' account balances.



When transactions are processed, the accounting system will record at the individual level. For example, when M&R Ltd, one of your customers, paid the amount it owes to you, the balance is updated at the individual debtor's account (otherwise, you would still be chasing M&R for payments). The summary account is updated periodically with the totals of all the individual debtors' accounts.

Even beyond these sub-ledger accounts, a company may keep a very detailed record of all its expenses, each account perhaps further sub-categorized by location, line of business, etc. For example, a business may keep track of the following accounts related to motor vehicle expenditures:

- Motor Vehicles—Fuel
- Motor Vehicles—Registration fees
- Motor Vehicles—Insurance
- Motor Vehicles—Repairs and maintenance
- Motor Vehicles—Other.

It may even sub-categorize the accounts further by types of motor vehicle: corporate office vehicles, delivery trucks, etc. When presenting financial statements to external users, companies will most probably aggregate these accounts. They may even be aggregated further with other expenses, such as telecommunication expenses, subscription expenses, and supplies expenses, as “other operating expenses.”

So how many accounts do companies use? A recent survey of 1,400 companies shows that this is largely dependent on the size and complexity of the business (Exhibit 4-4).

Exhibit 4-4 Number of General Ledger Accounts by Revenue Size

A1							
	A	B	C	D	E	F	G
		Less than \$25M	\$25M– \$99M	\$100M– \$499M	\$500M– \$999M	\$1B– \$4.9B	\$5B and over
1							
2	100–500	86%	60%	50%	43%	41%	27%
3	501–1,000	9%	23%	28%	29%	23%	18%
4	1,001–3,000	4%	11%	13%	17%	15%	18%
5	3,001–5,000	0%	3%	3%	9%	8%	27%
6	5,001–10,000	0%	2%	3%	3%	8%	2%
7	More than 10,000	1%	2%	3%	0%	5%	9%
8							

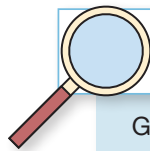
How much should a company aggregate before it loses meaning? What if a company aggregates everything to one total revenue and one total expenses account without additional details? Surely, such a level of aggregation would not help financial statement users make informed decisions about the company's financial performance.

IAS 1 provides a principle-based guideline: "An entity shall present separately each material class of similar items. An entity shall present separately items of a dissimilar nature or function unless they are immaterial." An item is **material** when its omission or misstatement could, individually or collectively, influence the economic decisions that users make on the basis of the financial statements. In other words, something is material when it has the potential to change a user's decision. It does not need to actually result in a change in a user's decision. What is material for a large multinational corporation may be different from that for a smaller business. Materiality depends on the size and nature (or combination of both) of the omission or misstatement, judged in the surrounding circumstances.

Offsetting

In general, unless required or permitted by an accounting standard, an entity is not allowed to offset assets and liabilities, or income and expenses. For example, if you have a receivable of €100 from BASF and a payable to BASF amounting to €80, you cannot offset the amounts and only show a receivable of €20. Such offsetting practices reduce the financial statement user's ability to understand the two separate business phenomena.

Note that offsetting is not the same as netting. For example, you can net off Accumulated Depreciation from a Property, Plant and Equipment (PPE) cost to arrive at a carrying amount. Similarly, netting receivables with allowances for uncollectible accounts (see Chapter 5) is perfectly fine and, in fact, done to provide the entity's net position on the Balance Sheet.



A Closer Look

Generally, when you sell something, you would show cost of goods sold as an expense item and the sales proceeds as revenue (more on this in Chapter 6). They are shown separately and not netted off. However, income outside ordinary activities, such as one generated from *incidental transactions* from disposal of a PPE is shown net (the difference between the sales proceeds and the carrying amount of the PPE). This netting reflects the substance of the business phenomenon. We will discuss disposals of PPE again later (in Chapter 7).

Frequency of Reporting

Entities are required to present a complete set of financial information at least annually. Some entities do not use fixed date year-ends but use a 52-week period instead (see Chapter 1). Larger entities, depending on stock exchange requirements, are often required to report on a half-yearly

or even quarterly basis. These are usually referred to as **interim reports**. Interim reports do not have the same amount of detail as annual reports and are not audited.

Comparative Information

From the extracts of companies' financial statements you have seen thus far in this text, you would have noticed that each financial statement has **comparative information**, i.e., numbers from previous period(s). This allows readers to make better sense of the financial information. *IAS 1* requires entities to disclose, at a minimum, two years of information, i.e., the current financial period and the previous financial period. Under certain situations, entities may be required to provide three years of Balance Sheet information (as at the end of the current period, as at the end of the previous period, and at the beginning of previous period). Comparatives must also be made in the narrative and descriptive information.

Consistency of Presentation

Further, entities are expected to maintain the presentation and classification of items in the financial statements from one period to another. For example, if an entity has always included and presented a particular income item under the heading "other income," it should continue to do so, unless presenting it otherwise is required by an accounting standard or results in more relevant and reliable information to the financial statement users. If a new presentation is carried out, then naturally the comparative amounts have to be adjusted accordingly.

For example, suppose that for 20X5 and 20X4, your sales and marketing expenses were \$20,000 and \$30,000, respectively. Prior to issuing the financial statements, you decided that a particular other operating expense amounting to \$2,000 is more appropriately disclosed as a sales and marketing expense. If you only reflect this new classification for 20X5, you will show:

	20X5	20X4
Sales and marketing expenses	\$22,000	\$20,000
Other operating expenses	\$28,000	\$30,000

This gives an impression that you have incurred more sales and marketing expenses and fewer other operating expenses in 20X5 compared to 20X4. This obviously would mislead readers as the expenses were exactly the same for 20X5 and 20X4. The change was caused by a reclassification. If this new classification is adopted, you would have to adjust your 20X4 comparative as well, and show:

	20X5	20X4
Sales and marketing expenses	\$22,000	\$22,000
Other operating expenses	\$28,000	\$28,000

Earlier (in Chapter 1), we saw how comparability enhances the quality of financial information. When presented with comparatives, the information must be presented on the same basis ("like things must look alike, different things must look different"). Otherwise, you will be looking at different ways of grouping items that may distort your view of the financial statements.

Notes to the Accounts

Recall that a complete set of financial statements include notes to the accounts. Notes to the accounts are an integral part of financial statements and contain additional information beyond the items presented on the face of financial statements. The notes are presented in a systematic manner, with appropriate cross-references from each item on the financial statements. While there is no specific order of items disclosed in the notes to the accounts, typically you will find it starts with a summary of significant accounting policies, estimates, and assumptions used in the preparation of financial statements, followed by additional supporting information for items on the financial statements, and lastly other disclosure requirements that are not based on items shown on the financial statements.

You have seen various examples of accounting policy disclosures on revenue recognition earlier (in Chapter 3). You will see other examples as we discuss various topics throughout this text. Here's an example from BASF's notes to the financial statements on its revenue recognition policies.

ADAPTED EXCERPTS FROM BASF'S NOTES TO THE FINANCIAL STATEMENTS

Revenue Recognition (partial)

Revenues from the sale of goods or the rendering of services are recognized upon the transfer of ownership and risk to the buyer. They are measured at the fair value of the consideration received. Sales revenues are reported without sales tax. Expected rebates and other trade discounts are accrued or deducted. Provisions are recognized according to the principle of individual measurement to cover probable risks related to the return of products, future warranty obligations and other claims.

Source: BASF, Annual Report 2015, page 166

In preparing financial statements, you have also seen that many accounting policies require the use of estimates and reliance on some assumptions. This is a critical understanding that anyone who studies accounting should realize. The numbers are meaningless until you know the accounting policies, estimates, and assumptions used to determine how transactions are recorded, measured, and eventually reported on the financial statements. For example, BASF provided this disclosure in its notes:

ADAPTED EXCERPTS FROM BASF'S NOTES TO THE FINANCIAL STATEMENTS

Use of estimates and assumptions in the preparation of the Consolidated Financial Statements

The carrying amount of assets, liabilities and provisions, contingent liabilities and other financial obligations in the Consolidated Financial Statements depends on the use of estimates, assumptions and use of discretionary scope. Specific estimates or assumptions used in individual accounting or valuation methods are disclosed in their respective sections. They are based on the circumstances and estimates on the Balance Sheet date and affect the reported amounts of income and expenses during the reporting periods. These assumptions particularly concern discounted cash flows in the context of impairment tests and purchase price allocations; the determination of useful lives of property, plant and equipment and intangible assets; the carrying amount of investments; and the measurement of provisions for such things as employee benefits, warranties, trade discounts, environmental protection and taxes. Although uncertainty is appropriately incorporated in the valuation factors, actual results can differ from these estimates.

Source: BASF, Annual Report 2015, page 172

Many other notes simply provide an additional breakdown of the numbers on the financial statements. For example, you can reconcile the Inventories balance of €9,693 million (line 9 on Exhibit 4-7) with Note 17.

ADAPTED EXCERPTS FROM BASF'S NOTES TO THE FINANCIAL STATEMENTS

Note 17: Inventory (partial)

Million €	December 31, 2015	December 31, 2014
Raw materials and factory supplies	2,944	2,814
Work-in-process, finished goods and merchandise	6,680	8,358
Advance payments and service-in-process	69	94
Inventories	9,693	11,266

Source: BASF, Annual Report 2015, page 198

Mid-Chapter

Summary Problem

Nora, the owner of a small business, came to you for help in reviewing the business's financial statements. She passed you a (rather disorganized) file containing many separate pieces of papers collated by her assistant. The first thing you noticed when you open the file was this document:

A1			
	A	B	C
1	20X6 Balance Sheet¹		
2	All other assets less accumulated depreciation	58,000	
3	Cash	3,000	
4	Equity	2,500	
5	Loans ²	80,000	
6	Payables ³	1,170	
7	Prepayments	2,470	
8	Receivables ³	15,920	
9	Supplies	4,280	
10	Total Balance Sheet this year ⁴	167,340	
11			

Notes to the Balance Sheet:

- 1 Prepared on accrual basis unless immaterial
- 2 Consists of loans from Citibank (due 20X7) and HSBC (due 20X8)
- 3 Receivables of \$50 from Marcus Ltd was netted off with payables of \$200 to Marcus
- 4 Total Balance Sheet last year \$140,010

Requirements

1. Explain to Nora how the above Balance Sheet does not follow the general presentation requirement of financial statements.
2. What else do you expect to find in the file Nora passed to you?

Answers

Requirement 1: The general presentation requirements of financial statements include the following:

- **Identification:** The Balance Sheet should be labeled appropriately. For example, the name of the entity, the date of the end of the reporting period, the currency used, and any rounding (if any).
- **Fair presentation, compliance to accounting standards, and accrual accounting:** Compliance with accounting standards is presumed to result in fair presentation of the financial statements. Nora has selectively applied the accrual basis of accounting, unless immaterial. This is not allowed under *IAS 1*.

- **Going concern:** The notes to the account should contain a reference to the appropriateness of the going concern assumption. From the Balance Sheet alone, it appears the going concern may be an issue as Nora has outstanding loans within the next two years, with very little resources to settle the obligations.
- **Materiality and aggregation:** There is not enough information to determine the level of materiality, but it appears that line items of the Balance Sheet are highly aggregated.
- **Offsetting:** Nora deducted a receivable of \$50 from a payable of \$200 to Marcus Ltd. This is not allowed under *IAS 1*.
- **Frequency, comparative information, and consistency of presentation:** There was no information on the financial statements that they are prepared at least annually. Furthermore, there was no comparative information provided and thus consistency of presentation cannot be assured. The only comparative was a “total” of all numbers at the bottom of the Balance Sheet, which does not convey any meaning.

Requirement 2: *IAS 1* specifies that a complete set of financial statements consists of the statement of financial position, statement of comprehensive Income, Statement of changes in equity, statement of cash flows, and notes to the account. The file should contain these items.

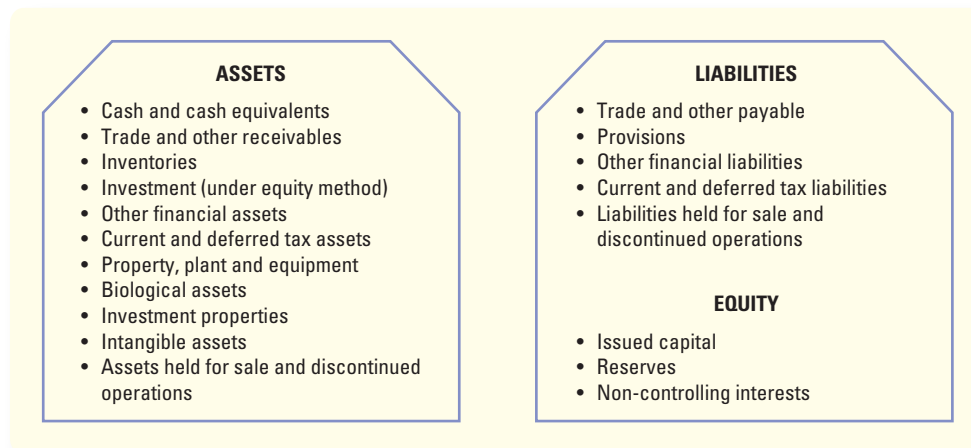
UNDERSTAND THE PRESENTATION REQUIREMENTS FOR STATEMENT OF FINANCIAL POSITION

3 Understand
presentation
requirements for
Statement of Financial
Position

The statement of financial position shows an entity’s assets and claims to these assets. You saw earlier that this could be kept in thousands of accounts and some form of aggregation would be necessary before presenting the assets, liabilities, and equity on the statement of financial position.

IAS 1 specifies that, at a minimum, these line items should be displayed on the Balance Sheet, as they are sufficiently different in nature or function to warrant separate presentation in the statement of financial position (Exhibit 4-5). Obviously, if you do not have these items, you do not need to show them with zero balances. Many of these accounts may be foreign to you right now, but we will discuss them throughout this text.

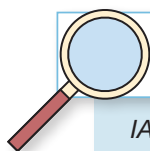
Exhibit 4-5 Line Items on the Balance Sheet



In addition, entities shall present additional line items, headings, and subtotals in the statement of financial position when such presentation is relevant to an understanding of the entity’s financial position. This is an assessment that each reporting entity has to make, taking into consideration the nature and liquidity of the assets, the functions of the assets within the entity, and the amount, timing, and nature of liabilities.

Information on the liquidity of an entity’s financial resources and obligations is important to the investors. **Liquidity** basically means how quickly an item can be readily converted to cash. This is typically done by grouping its assets into **current assets** and non-current assets, and grouping liabilities into **current liabilities** and non-current liabilities. The basic principle in

determining whether an asset (or liability) is current or non-current is whether or not the amount is expected to be recovered (or settled) within 12 months.



A Closer Look

IAS 1 specifies that assets are current if any of the following apply:

- (a) the asset is cash or a cash equivalent;
- (b) the entity expects to realize the asset within 12 months after the reporting period;
- (c) it holds the asset primarily for the purpose of trading; or
- (d) it expects to realize the asset, or intends to sell or consume it, in its normal operating cycle.

All other assets would be considered non-current.

The operating cycle of an entity is the time between the acquisition of assets for processing and their realization in cash or cash equivalents. When the entity's normal operating cycle is not clearly identifiable, it is assumed to be 12 months.

Conversely, liabilities are considered current if any of the following apply:

- (a) the entity expects to settle the liability in its normal operating cycle;
- (b) it holds the liability primarily for the purpose of trading;
- (c) the liability is due to be settled within 12 months after the reporting period; or
- (d) it does not have an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

All other liabilities would be considered non-current.

IAS 1 does not prescribe a fixed format for Balance Sheets. For smaller companies, you may find that the Balance Sheet is presented in an **account format**. The account format lists the assets on the left and the liabilities and shareholders' equity on the right in the same way that a T-account appears, with assets (debits) on the left and liabilities and equity (credits) on the right. In Chapter 3, Exhibit 3-12 shows an account-format Balance Sheet for RedLotus Travel, Inc.

Most of the time, you will not see Balance Sheets presented this way in an annual report. It is more likely that they will be shown in a **report format**, which typically lists assets first, followed by liabilities, and then shareholders' equity. A global survey of 170 IFRS companies around the world shows a wide variety of practices on how items are ordered in Balance Sheets (see Exhibit 4-6).

Exhibit 4-6 Order of Presentation in Balance Sheets

A1			
	A	B	C
1		No. of Companies	%
2	Classified into current and non-current:		
3	Current assets, non-current assets, current liabilities, non-current	51	30
4	liabilities, equity		
5	Non-current assets, current assets, equity, non-current liabilities,	67	39
6	current liabilities		
7	Non-current assets, current assets, current liabilities, non-current	30	18
8	liabilities, equity		
9	Non-current assets, current assets, non-current liabilities, current	5	3
10	liabilities, equity		
11			
12	Classified by other order of liquidity:		
13	Most current to least current	14	8
14	Least current to most current	3	2
15	Total companies surveyed	170	100
16			

BASF's consolidated statement of financial position (shown in Exhibit 4-7) illustrates the report format. The emphasis is on proving that the accounting equation balances, i.e., total assets equal total liabilities plus total equity. BASF reports its non-current assets first, followed by current assets, equity, non-current liabilities, and finally, current liabilities. Other companies may present their Balance Sheet sections differently. You may see some accounts that are not familiar right now. As we go through the remainder of this text, you will learn more about the specific elements of financial statements.

Exhibit 4-7 BASF's Statement of Financial Position

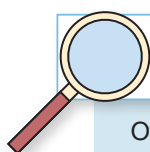
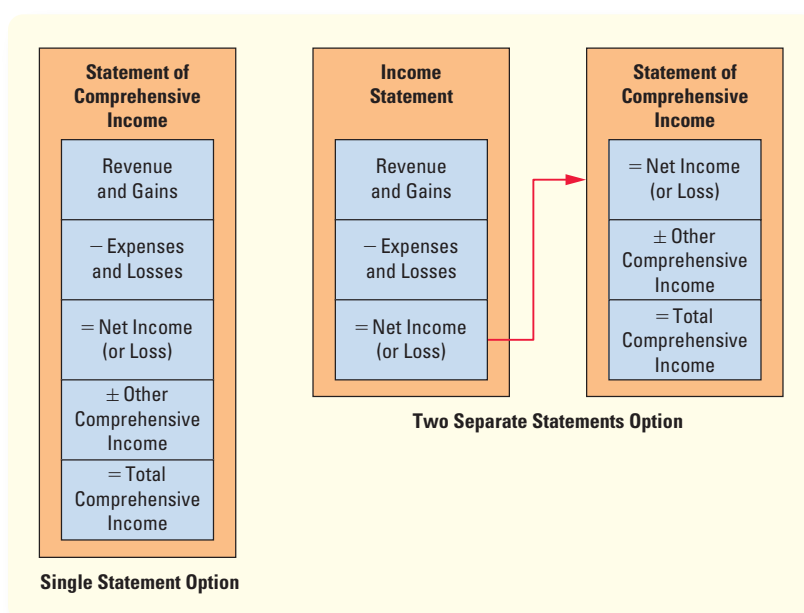
A1				
	A	B	C	D
1	BASF Group Balance Sheet	As at December 31		
2	(Adapted, in millions of €)	Note	2015	2014
3	Intangible assets	14	12,537	12,967
4	Property, plant and equipment	15	25,260	23,496
5	Investments accounting for using the equity method	16	4,436	3,245
6	Other financial assets	16	526	540
7	All other non-current assets	11, 18	3,511	3,691
8	Total non-current assets		46,270	43,939
9	Inventories	17	9,693	11,266
10	Accounts receivables	18	9,516	10,385
11	Cash and cash equivalents	1	2,241	1,718
12	All other current assets	18	3,116	4,051
13	Total current assets		24,566	27,420
14	Total assets		70,836	71,359
15	Subscribed capital	19	1,176	1,176
16	Capital surplus	19	3,141	3,143
17	Retained earnings	19	30,120	28,777
18	Other equity items	20	(3,521)	(5,482)
19	Minority interests	21	629	581
20	Total equity		31,545	28,195
21	Long-term provisions	22, 23	9,682	10,815
22	Financial indebtedness	24	11,123	11,839
23	All other non-current liabilities	11, 24	4,250	4,617
24	Total non-current liabilities		25,055	27,271
25	Accounts payable		4,020	4,861
26	Provisions	23	2,540	2,844
27	Financial indebtedness	24	4,074	3,545
28	All other current liabilities	11, 24	3,602	4,643
29	Total current liabilities		14,236	15,893
30	Total liabilities and equity		70,836	71,359
31				

The Balance Sheet also shows cross-references to notes to the accounts, which provide additional breakdown and information on the numbers on the financial statement. We will discuss notes to the accounts later in this chapter, and you will continue to see many examples of companies' notes to the accounts throughout this book.

UNDERSTAND PRESENTATION REQUIREMENTS FOR STATEMENT OF COMPREHENSIVE INCOME

IAS 1 requires an entity to present all items of income and expense recognized in a period in one of the following formats:

- in a single Statement of Comprehensive Income
- in two statements: (1) an Income Statement and (2) a Statement of Comprehensive Income that starts with the profit or loss from the Income Statement and continues with other comprehensive income to arrive at total comprehensive income (see Exhibit 4-8)

Exhibit 4-8 Statement of Comprehensive Income Formats

A Closer Look

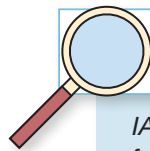
Other comprehensive income includes items that we would normally not cover in an introductory financial accounting course. They include:

- changes in revaluation surplus for PPE and intangible assets
- some actuarial gains and losses on defined benefit plans
- gains and losses arising from translating the financial statements of a foreign operation
- gains and losses from investments in equity instruments measured at fair value through other comprehensive income
- the effective portion of gains and losses on hedging instruments in a cash flow hedge
- for some liabilities designated as at fair value through profit or loss, the changes in fair value attributable to changes in credit risks

If you are pursuing an accounting major, these items will be covered in your advanced accounting courses. For our current coverage, you can assume that other comprehensive income equals zero. This means the Income Statement shows all the revenue and expenses recognized in a financial period and is equivalent to a statement of comprehensive income (when other comprehensive income is zero).

In Exhibit 4-5 we showed the items to be displayed on the face of a Balance Sheet as required by *IAS 1*. For the Income Statement, *IAS 1* simply states, in addition to items required by other accounting standards, that the Income Statement should present the following amounts for the period:

- revenue
- finance costs
- share of profits of associates (under equity method)
- tax expense



A Closer Look

IAS 1 had two additional items related to financial assets, which have been left out from the list above as they are beyond the scope of this text. IAS 1 also requires the Income Statement to provide a list of other disclosures related to other comprehensive income, non-controlling interests, earning per share, reclassification adjustments, and so forth. If your course requires it, your instructor would point you to the relevant section of IAS 1 for you to read.

However, an entity is expected to present additional line items, headings, and subtotals in its statement of comprehensive income when such presentation is relevant to an understanding of the entity's financial performance. This is also an assessment that each reporting entity has to make, taking into consideration issues such as materiality and the nature and function of the items of income and expense. When items of income or expense are material, an entity shall disclose their nature and amount separately.

IAS 1 also requires that an entity shall present an analysis of its expenses using a classification based on either their nature or their function within the entity, whichever provides information that is reliable and more relevant.

Categorizing **expenses by nature** means the reporting entity aggregates expenses according to their nature (for example, depreciation, purchases of materials, transport costs, employee compensation, and advertising costs), and does not reallocate them among functions within the entity. This method may be simple to apply because no allocations of expenses to functional classifications are necessary.

On the other hand, **expenses by function** means the reporting entity classifies expenses into functional categories such as cost of sales, cost of distribution, cost of administration, and so forth. At a minimum, an entity must disclose its cost of sales under this method separately from other expenses. This method can provide more relevant information to users than the classification of expenses by nature, but allocating costs to functions may require arbitrary allocations and involve some judgement.

Let's have a look at BASF's consolidated statement of income, shown in Exhibit 4-9.

Exhibit 4-9 BASF's Consolidated Statement of Income

A1				
	A	B	C	D
1	BASF Group Statement of Income (Adapted)	As at December 31		
2	(In millions of Euros)	Note	2015	2014
3	Sales Revenue	4	70,449	74,326
4	Cost of sales	6	(51,372)	(55,839)
5	Gross profit on sales		19,077	18,487
6	Selling expenses	6	(8,062)	(7,493)
7	General administrative expenses	6	(1,429)	(1,359)
8	Research expenses	6	(1,953)	(1,884)
9	Other operating income	7	2,004	2,231
10	Other operating expenses	8	(3,640)	(2,629)
11	Income from companies accounted for using equity method	9	251	273
12	Income from operations	4	6,248	7,626
13	Interest income		213	207
14	Interest expenses		(638)	(711)
15	All other income and expenses		(275)	81
16	Income before taxes		5,548	7,203
17	Income taxes	11	(1,247)	(1,711)
18	Net income		4,301	5,492
19				

Note that whilst BASF has used negative figures (in parentheses) to denote expenses, not all companies present their expenses as negative figures. Some may simply use the word “less” followed by a list of expenses, or present expenses in a colored or shaded box to signify reductions.

BASF’s expenses are presented by function. As you can see, there is a cost of sales, and the expenses are grouped under these functional categories: selling expenses, general administrative expenses, and research expenses.

Here’s an example of a nature format. Cathay Pacific is one of the leading airlines of the world. Its Income Statement below presents a list of expenses organized by nature. You can see that there is no cost of sales, and no functional grouping of expenses.

Exhibit 4-10 | Cathay Pacific’s Consolidated Income Statement

A1				
	A	B	C	D
1	Cathay Pacific			
	Statement of Income			
	Financial year ended 31 December			
2	(Adapted, in millions of HK\$)	2015	2014	
3	Revenue	102,342	105,991	
4	Expenses:			
5	Staff	(18,990)	(18,101)	
6	Inflight service and passenger expenses	(4,713)	(4,438)	
7	Landing, parking and route expenses	(14,675)	(14,196)	
8	Fuel, including hedging losses	(32,968)	(40,299)	
9	Aircraft maintenance	(7,504)	(7,077)	
10	Aircraft depreciation and operating leases	(10,883)	(10,411)	
11	Other depreciation, amortization and operating leases	(2,310)	(2,116)	
12	Commissions	(798)	(799)	
13	Others	(2,837)	(4,119)	
14	Total operating expenses	(95,678)	(101,556)	
15	Operating profit	6,664	4,435	
16	Net profit	6,308	3,450	
17				

The Hong Kong dollar is the official currency of the Hong Kong Special Administrative Region, abbreviated HKD or HK\$.



A Closer Look

Which analysis of expenses do you think is more informative? Is an analysis of expenses by function better than an analysis of expenses by nature?

IAS 1 states that both methods are acceptable and provides information on expenses that may vary, directly or indirectly, with the level of sales or production of the entity. The choice between the two depends on the historical context, industry, and the nature of the entity. Management has to select the presentation that it believes will result in information that is more reliable and relevant.

IAS 1 requires entities using the function format to disclose total staff costs, depreciation, and amortization in the notes to the account.

A global survey of 170 IFRS companies showed that 92 (55%) use analysis of expenses by function and the remaining 78 (or 45%) use analysis of expenses by nature.

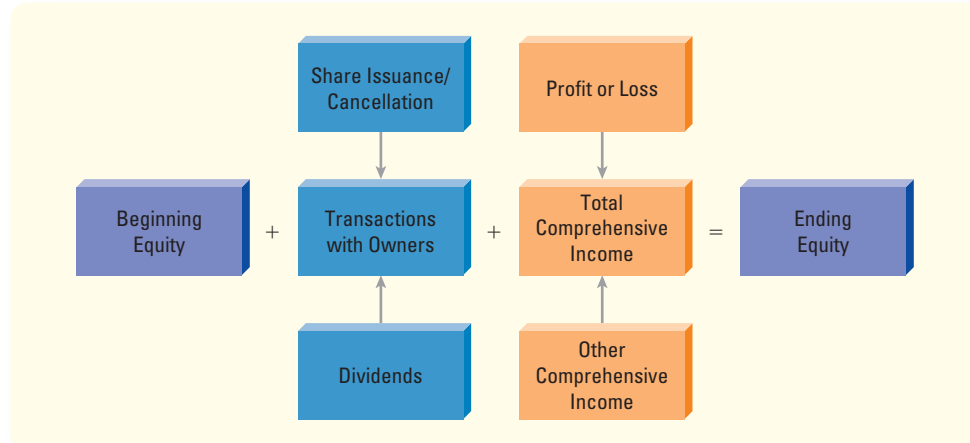
IAS 1 specifically prohibits the use of the label “extraordinary” to describe items of income and expenses. This term was historically used to describe income or expenses that arise from events or transactions that are clearly distinct from the ordinary activities of the enterprise and therefore are not expected to recur frequently or regularly. They were also reported separately after net profit after tax. The prohibition stems from the idea that these “extraordinary” items are actually not so special after all, and that they result from normal business risks and should not be used to send signals to readers to ignore these items.

UNDERSTAND PRESENTATION REQUIREMENTS FOR STATEMENT OF CHANGES IN EQUITY

5 Understand
presentation requirements for Statement of Changes in Equity

The statement of changes in equity reconciles the movement in total equity, from the beginning to the end of its financial period. What may cause a change in total equity from one period to another? Exhibit 4-11 summarizes the key reconciling items for the statement of changes in equity.

Exhibit 4-11 Key Reconciling Items for Statement of Changes in Equity



The changes may come from transactions with owners (in their capacity as shareholders) such as additional capital contribution, capital withdrawals (or share buyback and cancellation), and dividend payments. We will discuss equity-related transactions in more detail later (in Chapter 10). Another reason why equity would change from one period to another is, of course, the resulting total comprehensive income (or loss) for the period.

IAS 1 requires such reconciliation be done for each component of equity. This is why you often see a statement of changes in equity with many columns. Many companies also resorted to showing the statement on a landscape format to fit the various components of equity it maintains. A simplified version of BASF's statement of changes in equity is shown in Exhibit 4-12.

Exhibit 4-12 BASF's Statement of Changes in Equity

A1							
	A	B	C	D	E	F	G
1	BASF Group Statement of Changes in Equity Financial Year Ended December 31, 2015						
2	(Adapted, in millions of euros)	Subscribed capital	Capital surplus	Retained earnings	Other equity items	Minority interests	Total equity
3	Balance at January 1, 2014	1,176	3,165	26,102	(3,400)	630	27,673
4	Net income			5,155		337	5,492
5	Dividends paid			(2,480)		(286)	(2,766)
6	Other movements (summarized)		(22)		(2,082)	(100)	(2,204)
7	Balance at December 31, 2014 and January 1, 2015	1,176	3,143	28,777	(5,482)	581	28,195
9	Net income			3,987		314	4,301
10	Dividends paid			(2,572)		(234)	(2,806)
11	Other movements (summarized)		(2)	(72)	1,961	(32)	1,855
12	Balance at December 31, 2015	1,176	3,141	30,120	(3,521)	629	31,545
13							

IAS 1 also requires entities to report on information on share capital, such as number of shares, par value, and so forth. This is typically done in the notes to the accounts. We will explain the concept of share and capital structure further later in the text (see Chapter 10).

Occasionally, you may see equity adjusted due to an accounting policy change. The primary source of authority for accounting changes is *IAS 8—Accounting Policies, Changes in Accounting Estimates and Errors*. **Accounting policies** are defined as the specific principles, bases, conventions, rules, and practices applied by an entity in preparing and presenting financial statements. There are three types of accounting changes relevant to us:

1. **Changes due to new accounting standards or pronouncements.** Accounting standards do evolve, so from time to time, an entity would need to apply new or updated accounting standards. Such changes should be done in accordance with the specific transitional provisions in the new IFRS.
2. **Changes in accounting estimates.** We use estimates in much of our accounting work. You saw earlier (in Chapter 3) that the process of allocating the costs of PPE involves estimates such as useful life of the asset. For these types of changes, companies report amounts for the current and future periods on the new basis, i.e., *prospectively*. There is no looking back to the past, but a disclosure of the impact of the change is required (we will discuss this further in Chapter 7).
3. **Changes in accounting policies.** Entities sometimes change from one accounting policy to another. For example, an entity may have accounted for a particular asset under one policy and then decided that it is more reliable and relevant to account and present the asset using another policy. Such accounting changes make it difficult to compare one period with preceding periods. Without detailed information, investors can be misled into thinking that the current year is better or worse than the preceding year, when in fact the only difference is a change in accounting method. Thus, for these changes, the entity would report figures for all periods presented in the Income Statement, past as well as current, on the new basis. The company *retrospectively* applies (looks back and reapplies) all prior-period amounts that are presented for comparative purposes with the current year, as though the new accounting method had been in effect all along. This lets investors compare all periods that are presented on the same accounting basis. If an accounting policy change impacts periods prior to the earliest one presented in the current Income Statement, an adjustment to equity (via retained earnings) must be made. *IAS 8* contains additional provisions when the retrospective application is “impractical.” For our purpose, prior period adjustments can be made to beginning retained earnings.

You would expect financial statements to contain no factual errors. However, sometimes errors are only discovered after the financial statements have been issued. How do you deal with these errors? *IAS 8* refers to these as **prior-period errors**, which may be caused by omissions from, and mis-statements in, the entity’s financial statements for one or more prior-periods arising from a failure to use, or misuse of, reliable information. These errors include the effects of arithmetic mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud.

All material prior-period errors require retrospective restatement, either by restating the opening balances of assets, liabilities, and equity for the earliest prior-period presented in a set of financial statements, or, if impractical, through a “prior-period adjustment” to the beginning retained earnings in the statement of changes in equity.

Let’s use an example. Assume that MWS Corporation incorrectly recorded an expense as \$30,000, but the correct amount was \$40,000. This error understated expenses by \$10,000 and overstated net income by \$10,000. Let’s also assume we will correct this accounting error using a prior-period adjustment. Prior-period adjustments are not reported on the Income Statement because they relate to an earlier accounting period. This prior-period adjustment would appear on the statement of changes in equity earnings, as shown in Exhibit 4-13, with all amounts assumed.

Exhibit 4-13 Reporting a Prior Period Adjustment

A1			
	A	B	C
	MWS Corporation		
	Statement of Changes in Equity		
	Year Ended December 31, 20X6		
1			
2	Total shareholder equity, December 31, 20X5		\$ 490,000
3	Share capital	\$ 100,000	
4	Retained earnings balance, December 31, 20X5, as reported	390,000	
5	Prior-period adjustment—to correct error in recording expense	(10,000)	
6	Retained earnings balance, December 31, 20X5, as adjusted	380,000	
7	Net income for 20X6	110,000	
8	Dividends for 20X6	(40,000)	
9	Retained earnings balance, December 31, 20X6	450,000	
10	Total shareholder equity, December 31, 20X6		\$ 550,000
11			

EVALUATE A COMPANY'S SHORT-TERM LIQUIDITY

6 Evaluate a company's short-term liquidity

As you've seen, accounting provides information for decision making. A bank considering lending money must make an assessment as to whether the borrower can repay the loan. If the borrower already has a lot of debt, the probability of repayment will be lower than otherwise. To analyze a company's financial position, decision makers use ratios computed from various items in the financial statements. We will begin introducing financial ratios to you from this chapter onwards. Let's start with current ratio, which helps investors measure the short-term liquidity of a company.

Current Ratio

One of the most widely used financial ratios is the **current ratio**, which divides total current assets by total current liabilities, taken from the Balance Sheet.

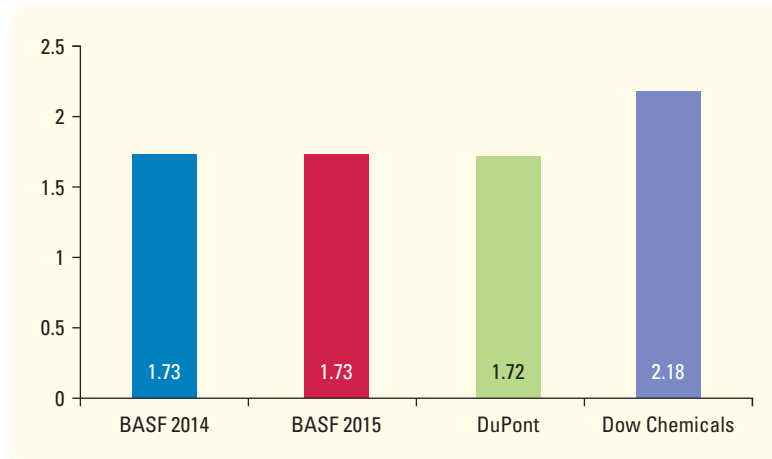
$$\text{Current ratio} = \frac{\text{Total current assets}}{\text{Total current liabilities}}$$

Refer to BASF's Balance Sheet in Exhibit 4-7 on page 228. For BASF, the current ratio for 2015 is line 13 divided by line 29:

Current ratio	BASF 2015	BASF 2014
$\frac{\text{Current assets}}{\text{Current liabilities}}$	$\frac{24,566}{14,236} = 1.73$	$\frac{27,420}{15,893} = 1.73$

The current ratio measures the company's ability to pay current liabilities with current assets. A company prefers a high current ratio, which means that the business has plenty of current assets to pay current liabilities. An increasing current ratio from period to period indicates improvement in financial position.

BASF's 2015 current ratio is 1.73. Is this current ratio good or bad? Well, any number or ratio is meaningful unless you give it context. For example, we can compare the 2015 current ratio to that of the previous year. It seems that BASF's current ratio is unchanged from 2014, both at 1.73. Another way to make sense of the 1.73 current ratio is to compare it to similar companies in the same (broadly classified) industry as BASF, for example Dow Chemicals (2015 current ratio of 2.18) or DuPont (2015 current ratio of 1.72). We can say that BASF's short-term liquidity, as measured by current ratio, is comparable to that of DuPont but below that of Dow Chemicals. Refer to Exhibit 4-14 for a comparison of current ratios for BASF, DuPont, and Dow Chemicals.

Exhibit 4-14 | Current Ratio Comparisons

As a rule of thumb, a strong current ratio is 1.50, which indicates that the company has \$1.50 in current assets for every \$1.00 in current liabilities. A company with a current ratio of 1.50 would probably have little trouble paying its current liabilities. Most successful businesses operate with current ratios between 1.20 and 1.80. A current ratio of less than 1.00 is considered low, but it has to be seen in the context of the business operations and cash flows.

End-of-Chapter

Summary Problem

Refer to the BASF financial statements presented in Exhibits 4-7 and 4-9.

Requirements

1. Examine BASF's statement of financial position in Exhibit 4-7. What are its current and non-current assets, and current and non-current liabilities? Does it appear to meet the presentation requirements of a statement of financial position?
2. Examine BASF's consolidated statement of income in Exhibit 4-9. Does it appear to meet the presentation requirements of an Income Statement? Do you find sufficient details on the face of the Income Statement to make a judgment about BASF's financial performance in 2015?

Answers

Requirement 1

BASF uses a short-term versus long-term classification to denote current and non-current assets/liabilities, respectively. Total current assets are €24,566 million, total non-current assets are €46,270 million, total current liabilities are €14,236 million, and total non-current liabilities are €25,055 million. BASF's statement of financial position appears to meet the requirements in *IAS 1*, for example:

- a. The financial statement title, date of end of reporting period, presentation currency, and rounding, as well as comparative information, are all clearly displayed.
- b. The Balance Sheet appears to display the minimum line items shown in Exhibit 4-6 (BASF is unlikely to have assets such as biological assets). If BASF has any investment properties, this should be presented separately on the Balance Sheet. BASF uses an older term for non-controlling interest (labeled "minority interests").

Requirement 2

BASF's Income Statement appears to meet the requirements in *IAS 1*, for example:

- a. The financial statement title, date of end of reporting period, presentation currency, and rounding, as well as comparative information, are all clearly displayed.
- b. The Income Statement contains all the required information. It shows total sales revenue of €70,449 million (with additional information in Notes 4, not shown), finance costs of €638 million, equity method income of €251 million, and tax expenses of €1,247 million.

BASF also offered sufficient details on the Income Statement for readers to evaluate its financial performance. For example:

- a. The Income Statement shows additional headings and subtotals that BASF felt would make the information more relevant to readers. For example, it displays subtotals such as gross profit (€18,077 million), income from operations (€6,248 million), and income before taxes (€5,548 million).
- b. BASF provides additional explanation for a number of items on the Income Statement. There is, however, a practical limit of how much you can expect a company to disclose. For example, cost of sales is a total number without specific information on the actual cost of every product that BASF sells. Notes 7 and 8, explaining breakdown of other operating income and other operating expenses (not shown), provide additional details of disclosure as well.

REVIEW | Presentation of Financial Statements

Quick Check (Answers are given at the end of the chapter.)

1. Which statement is true?
 - a. Chairman's letters are part of a financial statement.
 - b. Corporate annual reports are part of a financial statement.
 - c. Management discussions and analysis are part of notes to the accounts.
 - d. Financial statements are part of corporate annual reports.
2. Corporate annual reports typically appear in this order:
 - a. Corporate information, other statements and disclosures, analysis and commentaries, and financial statements
 - b. Financial statements, analysis and commentaries, other statements and disclosures, and corporate information
 - c. Corporate information, analysis and commentaries, other statements and disclosures, and financial statements
 - d. Financial statements, other statement and disclosures, analysis and commentaries, and corporate information
3. The first item in the analysis and commentaries section of an annual report is typically:
 - a. Management analysis and discussions
 - b. Chairman's message/letter to shareholders
 - c. Auditor's report on the company's financial position and performance
 - d. Segment performance

4. Who is responsible for the preparation of financial statements?
 - a. Auditor
 - b. Management
 - c. Chief Financial Officer (CFO) and the accounting staff
 - d. Chairman of the Board
5. Materiality means:
 - a. The amount in question had the potential to result in a different decision had it been known to financial statement users.
 - b. The amount in question is greater than 10% of total assets.
 - c. The amount in question is greater than 10% of revenue.
 - d. The amount in question would have resulted in a different decision had it been known to financial statement users.
6. IAS 1 does not require the following item to be displayed on the statement of financial position:
 - a. Provisions
 - b. Cash and cash equivalents
 - c. Accumulated depreciation
 - d. Intangible assets
7. Which of the following is correct?
 - a. A statement of financial position contains information about how components of equity change during a period.
 - b. An entity is not allowed to aggregate its revenue into one single line on the Income Statement.
 - c. Entities must present their statement of comprehensive income, followed by the statement of financial position, statement of changes in equity, and, lastly, statement of cash flows.
 - d. Other comprehensive income items may turn a “loss” on the Income Statement into a “profit” on the statement of comprehensive income.
8. An entity has the following balances: Cash \$15,000, Inventory \$10,000, Receivables \$22,000, PPE \$50,000, and Intangible assets \$40,000. Its total current assets are:
 - a. \$25,000
 - b. \$37,000
 - c. \$47,000
 - d. \$97,000
9. All of the following may explain changes in equity from one period to another, except for:
 - a. Additional share issuance during the period
 - b. Payment of dividend during the period
 - c. Increase in the entity’s share price during the year
 - d. Total comprehensive income
10. Which of the following statements best describes notes to the financial statements?
 - a. They are part of a complete set of financial statements.
 - b. They are used to explain how the company has performed during the financial year.
 - c. They provide a breakdown of all the numbers that appear on financial statements.
 - d. The more important numbers are shown on the financial statements and the less important ones are shown in the notes to the financial statements.

Accounting Vocabulary

account format (p. 227) A Balance-Sheet format that lists assets on the left and liabilities and shareholders' equity on the right.

accounting policies (p. 233) Specific principles, bases, conventions, rules, and practices applied by an entity in preparing and presenting financial statements.

adverse opinion (p. 219) An auditor's opinion that the financial statements, as a whole, do not fairly represent the financial position and performance of the audited entity.

annual reports (p. 209) Reports prepared by entities for their shareholders, potential investors, and stakeholders.

auditor's report (p. 217) A report from the external auditor expressing an opinion on the financial statement, after conducting an audit in accordance with applicable auditing standards.

board of directors (p. 214) Shareholder representatives elected to oversee the company and its management team.

chairman (p. 214) Head of a board of directors.

comparative information (p. 223) Corresponding figures from previous financial period(s) that must be displayed on the same presentation basis as the current year's financial period.

corporate governance (p. 215) The broad guidelines regulating how a company should be governed and managed, to ensure accountability to shareholders.

current asset (p. 226) An asset that is expected to be converted to cash, sold, or consumed during the next 12 months.

current liability (p. 226) A financial obligation that is due to be paid within 12 months.

current ratio (p. 234) Current assets divided by current liabilities. Measures a company's ability to pay current liabilities with current assets.

expenses by function (p. 230) One alternative in presenting expenses of a company, where expenses are categorized into

major functions, such as cost of sales, selling and administration expenses, and so forth.

expenses by nature (p. 230) One alternative in presenting expenses of a company, where expenses are reported as they are (e.g. depreciation, purchases of materials, staff costs, etc.) without allocation to functional areas.

interim reports (p. 223) Quarterly or half-yearly financial reports that are usually not audited and are less detailed than an annual report.

liquidity (p. 226) A measure of an entity's ability to convert an asset to cash (if it is not already cash) or settle an obligation. Typically grouped into current and non-current assets and liabilities.

listing requirements (p. 212) The rules stipulated by a stock exchange, or a bourse, for all listed companies.

material (p. 222) An item is material when its omission or misstatement could, individually or collectively, influence the economic decisions that users make on the basis of the financial statements.

prior-period errors (p. 233) Errors arising from arithmetic mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud, that are discovered in a subsequent accounting period.

qualified opinion (p. 219) An auditor's opinion that the financial statements, as a whole, fairly represent the financial position and performance of the audited entity, with exception in one or two areas.

report format (p. 227) A Balance-Sheet format that lists assets at the top, followed by liabilities and shareholders' equity below.

unqualified opinion (p. 219) An auditor's opinion that the financial statements fairly represent the financial position and performance of the audited entity.

ASSESS YOUR PROGRESS

Short Exercises

LO 1

■ writing assignments

LO 1

■ writing assignments

LO 2

S4-1. (Learning Objective 1: Understanding annual reports as a communication tool) You were discussing corporate annual reports with your friends. One of them said "Annual reports are no different from a marketing brochure." How would you react to this statement?

S4-2. (Learning Objective 1: Understanding annual reports as a communication tool) Bobby Young is one of the many investors in your company. He demands to see your accounting records because he wants to have a "complete picture of the company's operations." Write a short email in response to Bobby's request.

S4-3. (Learning Objective 2: Identifying financial statements) What are the IAS 1 requirements in terms of the ordering of financial statements in an annual report? What additional labels must each financial statement display?

S4-4. (Learning Objective 2: Using accounts to keep track of information) What is the difference between keeping track of customer accounts using subsidiary ledger accounts versus using general ledger accounts?

LO 2

S4-5. (Learning Objective 2: Understanding general reporting requirements) Write a short paragraph explaining how corporate governance is important for the integrity of financial reporting.

LO 2

■ writing assignments

S4-6. (Learning Objectives 2, 3: Aggregating information for presentation on the Balance Sheet) Trivago has the following account balances:

LO 2 3

RECEIVABLES		PAYABLES	
• Amsterdam Supplies	\$1,200	• Doha Markets	\$1,200
• Bangkok Groceries	\$1,800	• Jakarta Leisure Group	\$1,900
• Doha Markets	\$2,500	• London Bridge Souvenirs	\$2,200
• Frankfurt Museum	\$3,900	• Penang Kitchen	\$3,300
• Geneva Tours	\$4,100		

What amount of total receivables and total payables should Trivago report on its Balance Sheet? Is it allowed to net off the balances to and from Doha Markets?

S4-7. (Learning Objective 3: Distinguishing current assets from non-current assets) Wayne Enterprises has the following assets: Cash and cash equivalents \$35,200, Inventory \$18,200, Receivables \$32,900, Prepayments \$12,000, Long-term interest-free loan to employees \$20,000, Equipment \$40,000, Accumulated depreciation—equipment \$4,200, Motor vehicle \$78,000, Accumulated depreciation—motor vehicle \$22,800, Intangible assets \$21,000.

LO 3

What are Wayne's total current assets and total non-current assets?

S4-8. (Learning Objective 3: Distinguishing current assets from non-current assets) Wayne Enterprises has the following liabilities: Accounts payable \$24,000, Accrued staff wages \$3,100, Accrued interest \$2,600, Commission payable \$2,800, Tax payable \$6,000, Loan \$110,000 (half of which is due in the coming financial period).

LO 3

What are Wayne's total current liabilities and total non-current liabilities?

S4-9. (Learning Objective 4: Assessing net income versus comprehensive income) Company Nile reported a net profit of \$2 million on its Income Statement and a \$2 million loss in other comprehensive income. Company Thames reported a net loss of \$2 million on its Income Statement and \$2 million other comprehensive income. Both Nile and Thames, thus, report zero total comprehensive income.

LO 4

■ writing assignments

If you have to pick one company, which company would you pick? Why?

S4-10. (Learning Objective 4: Knowing components of other comprehensive income) List the items that could appear as other comprehensive items.

LO 4

S4-11. (Learning Objectives 2, 4: Understanding reporting requirements for Income Statements) You were reading a posting in a local small business discussion forum online. Someone with the nickname "Goblin" has just posted a message that says: "I am applying for a bank loan for my flower shop, and the bank has asked for an audited set of financial statements. I don't understand why they need to do so. My credit history is impeccable!"

LO 2 4

Write a short reply to the discussion forum on why the bank would require financial statements to be audited.

LO 5

S4-12. (Learning Objective 5: Understanding major items that change equity) Dynamite Corp. reported total equity of £183,528 at the end of its 20X5 financial year. At the end of its 20X6 financial year, total equity grew to £394,418. List the major items that caused this change.

Exercises MyLab Accounting

Select A and B exercises can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete the select exercises using MyLab Accounting.

Group A

LO 1

E4-13A. (Learning Objective 1: Identifying key elements of an annual report) For each of the following items, identify which section they would typically appear in on an annual report. Use (1) for corporate information, (2) for analysis and commentaries, (3) for other statements and disclosures, and (4) for financial statements.

- a. Revenue recognition policy _____
- b. Company history _____
- c. Listing of company's subsidiaries and associated entities _____
- d. Review of segment performance _____
- e. New upcoming product launches _____
- f. Breakdown of trade and other payables _____
- g. Chairman's letter to shareholders _____

LO 2

E4-14A. (Learning Objective 2: Identifying financial statements) Gant Corp. is a large multinational company with many subsidiaries and associated companies. It is headquartered in Manchester, United Kingdom, and is listed on both the London Stock Exchange and the Hong Kong Stock Exchange. Its Income Statement heading is shown below. Identify any deficiencies in relation to requirements of IAS 1.

A1					
	A	B	C	D	E
1	Gant Corporation				
2		20X5	20X4		
3					

LO 2

E4-15A. (Learning Objective 2: Understanding materiality) Insignia is a company with total assets of \$500,000, total revenue of \$800,000, gross profit of \$300,000, and net profit of \$100,000 in its last financial year, 20X5. Which of the following items are likely to be material for Insignia?

- a. There was an error in the calculation of commission payable to employees amounting to \$2,200 in 20X4. The additional payments were made in 20X5, but the 20X4 comparatives on the financial statement were not adjusted for this error.
- b. Insignia has erroneously recognized revenue for items that have not yet been shipped to customers at the end of 20X5, amounting to \$28,000.
- c. Insignia suffered a major flood in one of its largest warehouses in September 20X5. Insignia did not recognize or disclose the losses it suffered because it was in the process of making claims to its insurance company. In early 20X6, before the issuance of the annual report, the insurance company paid the claims in full.
- d. Insignia sold an old factory to another company. The buyer was going to demolish the factory and build a hostel on the site. However, the buyer failed to secure permission to build the hostel because the grounds showed higher levels of toxicity than allowed. The buyer claimed this is due to Insignia's failure to meet environmental regulations on disposal of industrial waste in the past. The buyer is now suing Insignia for damages, expected to be in the millions. Insignia believes this lawsuit is baseless and would vigorously defend the case in court. It did not mention this lawsuit in its annual report.

E4-16A. (Learning Objectives 2 and 3: Aggregating assets on the Balance Sheet) Travis Ltd. has the following assets. Assuming that each account is not material, what is the highest level of aggregation allowed under IAS 1?

L0 2 3

Trade receivables	Building	Inventory—raw materials
Other receivables	Plantation	Inventory—work-in-progress
Notes receivables	Intellectual property rights	Inventory—finished goods
Cash on hand	Equipment	Short-term share investments
Deposits at banks	Furniture and fixtures	Investment under equity method
Prepayments and deposits	Motor vehicles	Goodwill

E4-17A. (Learning Objective 3: Classifying assets based on liquidity) A thorough review of GE Broadcasting assets at the end of December 31, 20X5, resulted in the following information:

L0 3

- Cash on hand and cash at bank totaling \$484,000
- Fixed-term deposits with banks totaling \$142,000 (matures July 1, 20X7)
- Inventories totaling \$324,000
- Trade receivables totaling \$245,000
- Loans to employees of \$120,000, 30% of which is due by the end of 20X6
- PPE with a historical cost of \$129,000 and accumulated depreciation of \$12,000
- Investment in associate companies using equity method at \$35,000
- Short-term investment in publicly traded shares of listed companies at \$10,000

What are GE Broadcasting's current and non-current assets?

E4-18A. (Learning Objective 3: Classifying liabilities based on liquidity) The same review in E4-17A resulted in the following information on GE Broadcasting's liabilities at the end of December 31, 20X5:

L0 3

- Trade payable of \$317,000
- Note payable of \$245,000 due July 1, 20X7
- Interest accrued for note payable \$8,000 (payable every quarter, the next payment being on April 1, 20X6)
- Provisions for unbilled expenses of \$40,000
- Provision for employee benefit of \$248,000 (first employee retirement expected in 20X9)
- Interest-free loan from a shareholder, totaling \$400,000, payable in eight equal quarterly installments, first payment due on March 1, 20X6.

What are GE Broadcasting's current and non-current liabilities?

E4-19A. (Learning Objective 4: Preparing Statement of Comprehensive Income) Logan Enterprise reported the following balances.

L0 4

A1					
	A	B	C	D	E
	Logan Enterprises				
	Partial Account Listing and Balances				
	As of December 31, 20X5 and 20X4				
1					
2		20X5	20X4		
3	Sales revenue	\$ 37,800	\$ 22,900		
4	Other income	5,300	4,700		
5	Cost of goods sold	12,200	9,300		
6	Distribution expenses	2,300	2,200		
7	Marketing expenses	3,700	3,000		
8	Administrative expenses	2,800	2,400		
9	Finance expense	600	500		
10	Tax expense	1,500	1,000		
11	Other comprehensive income	\$ 4,400	\$ 3,600		
12					

Prepare Logan's Statement of Comprehensive Income in a single statement format and a two separate statements format.

L0 4

E4-20A. (Learning Objective 4: Reporting expenses by function and nature) Potomac's accountant has just prepared an analysis of its expenses for the year, by nature and by functions. The company earned service revenue totaling \$480,000 during the year.

A1					
	A	B	C	D	E
1	Expense by Nature and Function	Cost of Sales	Sales and Marketing	Distribution and Logistics	Administrative Expenses
2	Wages and Salaries	44,000	31,000	38,000	26,000
3	Depreciation	5,000	3,000	9,000	1,000
4	Advertising expense		32,000		
5	Motor vehicle expense		12,000	35,000	28,000
6	Utilities expense	8,000	2,000	11,000	6,000
7	Interest expense				
8	Tax expense				
9					7,800
10					3,200

1. Prepare Potomac's Income Statement using analysis of expenses by nature.
2. Prepare Potomac's Income Statement using analysis of expenses by function.
3. Looking at your answers to parts 1 and 2 above, which one do you prefer as a user of financial statements?

Group B

L0 1

E4-21B. (Learning Objective 1: Identifying key elements of an annual report) For each of the following items, identify which section they would typically appear in on an annual report. Use (1) for corporate information, (2) for analysis and commentaries, (3) for other statements and disclosures, and (4) for financial statements.

- a. Auditor's opinion _____
- b. Members of the board of directors _____
- c. CEO's letter to shareholders _____
- d. Information on the company's latest business acquisitions _____
- e. Report on environmental impact _____
- f. Estimates used in depreciation allocation _____
- g. Awards and accolades received _____

L0 2

E4-22B. (Learning Objective 2: Identifying financial statements) Hoffman Enterprises Ltd. is a large multinational company with many subsidiaries and associated companies. It is headquartered in Luxembourg and is listed on both the Frankfurt Stock Exchange and the Taiwan Stock Exchange. Its Balance Sheet heading is shown below. Identify any deficiencies in relation to requirements of IAS 1.

A1				
	A	B	C	D
	Hoffman Enterprises Ltd.			
1		20X5	20X4	
2				

E4-23B. (Learning Objective 2: Understanding materiality) Indie is a company with total assets of €500,000, total revenue of €800,000, gross profit of €300,000, and net profit of €100,000 in its last financial year, 20X5. Which of the following items are likely to be material for Indie?

LO 2

- There was an error in the calculation of commission payable to employees amounting to €2,100 in 20X4. The additional payments were made in 20X5, but the 20X4 comparatives on the financial statement were not adjusted for this error.
- Indie has erroneously recognized revenue for items that have not yet been shipped to customers at the end of 20X5, amounting to €26,000.
- Indie suffered a major flood in one of its largest warehouses in September 20X5. Indie did not recognize or disclose the losses it suffered because it was in the process of making claims to its insurance company. In early 20X6, before the issuance of the annual report, the insurance company paid the claims in full.
- Indie sold an old factory to another company. The buyer was going to demolish the factory and build a hostel on the site. However, the buyer failed to secure permission to build the hostel because the grounds showed higher levels of toxicity than allowed. The buyer claimed this was due to Indie's failure to meet environmental regulations on disposal of industrial waste in the past. The buyer is now suing Indie for damages, expected to be in the millions. Indie believes this lawsuit is baseless and would vigorously defend the case in court. It did not mention this lawsuit in its annual report.

E4-24B. (Learning Objectives 2 and 3: Aggregating assets on the Balance Sheet) Marvis Ltd. has the following assets. Assuming that each account is not material, what is the highest level of aggregation allowed under IAS 1?

LO 2 3

Short-term share investments	Cash	Machinery and equipment
Investment under equity method	Term deposits	Furniture and fittings
Goodwill	Prepayments and deposits	Trucks
Inventory—raw materials	Accounts receivables	Factory
Inventory—work-in-progress	Other receivables	Plantation
Inventory—finished goods	Notes receivables	Intellectual property rights

E4-25B. (Learning Objective 3: Classifying assets based on liquidity) A thorough review of PG Broadcasting assets at the end of December 31, 20X5, resulted in the following information:

LO 3

- Cash on hand and cash at bank totaling €241,000
- Fixed-term deposits with banks totaling €180,000 (matures July 1, 20X7)
- Inventories totaling €127,000
- Trade receivables totaling €158,000
- Loans to employees of €40,000, 30% of which is due by the end of 20X6
- PPE with a historical cost of €128,000 and accumulated depreciation of €48,000
- Investment in associate companies using equity method at €55,000
- Short-term investment in publicly traded shares of listed companies at €24,000

What are PG Broadcasting's current and non-current assets?

E4-26B. (Learning Objective 3: Classifying liabilities based on liquidity) The same review in E4-25B resulted in the following information on PG Broadcasting's liabilities at the end of December 31, 20X5:

LO 3

- Trade payable of €117,000
- Note payable of €180,000 due July 1, 20X7
- Interest accrued for note payable €4,200 (payable every quarter, the next payment being on April 1, 20X6)
- Provisions for unbilled expenses of €22,400
- Provision for employee benefit of €198,500 (first employee retirement expected in 20X9)
- Interest-free loan from a shareholder, totaling €200,000, repayable in eight equal quarterly installments, first payment due on March 1, 20X6.

What are PG Broadcasting's current and non-current liabilities?

L0 4

E4-27B. (*Learning Objective 4: Preparing Statement of Comprehensive Income*) Victor Limited reported the following balances.

A1					
	A	B	C	D	E
	Victor Limited				
	Partial Account Listing and Balances				
	As of December 31, 20X5 and 20X4				
1					
2		20X5	20X4		
3	Sales revenue	€ 27,800	€ 32,900		
4	Other income	4,300	5,700		
5	Cost of goods sold	9,200	12,300		
6	Distribution expenses	2,300	2,200		
7	Marketing expenses	3,700	4,000		
8	Administrative expenses	2,800	3,400		
9	Finance expense	600	800		
10	Tax expense	1,500	1,800		
11	Other comprehensive income	3,400	4,600		
12					

Prepare Victor's Statement of Comprehensive Income in a single statement format and a two separate statement format.

L0 4

E4-28B. (*Learning Objective 4: Reporting expenses function and nature*) Maryland's accountant has just prepared an analysis of its expenses for the year, by nature and by functions. The company earned service revenue totaling €450,000 during the year.

A1					
	A	B	C	D	E
1	Expense by Nature and Function	Cost of Sales	Sales and Marketing	Distribution and Logistics	Administrative Expenses
2	Wages and Salaries	32,000	36,000	29,000	16,000
3	Depreciation	4,200	3,800	7,000	2,000
4	Advertising expense		27,000		
5	Motor vehicle expense		21,000	32,000	23,000
6	Utilities expense	12,000	5,000	11,000	3,000
7	Interest expense				
8	Tax expense				
9					
10					

1. Prepare Maryland's Income Statement using analysis of expenses by nature.
2. Prepare Maryland's Income Statement using analysis of expenses by function.
3. Looking at your answers to parts 1 and 2 above, which one do you prefer as a user of financial statements?

Quiz

Test your understanding of presentation of financial statements by answering the following questions. Answer each question by selecting the best choice from among the answers given.

Q4-29. An entity shall present:

- a. The statement of changes in equity following the statement of financial position.
- b. The statement of comprehensive income first and the statement of changes in equity last.
- c. If presented in two-statement format, the Income Statement immediately followed by the statement of comprehensive income.
- d. The statement of financial position more prominently than the other statements.

- Q4-30.** In accordance with *IAS 1*, which of the following statements is correct?
- For the purpose of classifying assets and liabilities into current and non-current components, the entity's operating cycle can be more than 12 months.
 - Intangible assets must be presented separately in the statement of financial position.
 - Assets and liabilities can be offset if they arise from the same transaction or event.
 - Assets and liabilities must be presented in the order of decreasing liquidity.
- Q4-31.** Which of the following entities appears not to be a going concern?
- Company M's management is unable to extend its long-term loan, and, given its losses in recent years, it is unlikely that it will be able to raise funds through other means to pay for the loan.
 - Company K's management intends to liquidate the entity.
 - Company L's management is being forced to cease the entity's operations due to a major change in government policies.
 - None of the three companies is likely to be a going concern.
- Q4-32.** When the classification of items in its financial statements is changed, the entity:
- Must not reclassify the comparative amounts unless absolutely necessary.
 - Must reclassify comparative amounts, unless it is impractical to do so.
 - Has an unrestricted choice whether to reclassify the comparative amount or not.
 - Must preserve consistency in reporting, and no new reclassification should be allowed.
- Q4-33.** The information which must be provided so as to properly identify each component of a set of financial statements does not include:
- The name of the reporting entity.
 - The presentation currency and level of rounding used.
 - The country in which the entity operates.
 - The date of the end of the reporting period or the period covered by the financial statements.
- Q4-34.** Items of dissimilar nature or function:
- Must be presented separately if they are material.
 - May be aggregated if accompanied by a note to the account explaining the breakdown.
 - Must always be presented separately in financial statements.
 - Must be aggregated until they are material.
- Q4-35.** Materiality depends on:
- The nature of the omission or misstatement.
 - The size of the omission or misstatement.
 - Both the nature and size of the omission or misstatement.
 - The higher of 10% of total assets and 10% of total revenue.
- Q4-36.** An entity must disclose comparative information for:
- Only the immediate past financial period.
 - Only for material items on the financial statements.
 - The previous comparable period for all amounts reported in the financial statements.
 - The previous comparable period for all amounts reported in the financial statements, as well as any narrative and descriptive information.
- Q4-37.** An entity's equity may decrease during a financial period because:
- Other comprehensive income was lower than net profit.
 - There was a new share issuance.
 - Total comprehensive income was higher than net profit.
 - Prior-period errors resulted from overstatement of the previous year's profits.
- Q4-38.** The notes to the accounts can be used for the following, except for:
- Explaining why a certain accounting standard was not followed.
 - Providing disclosures of items not shown on the face of financial statements.
 - Providing additional breakdown of line items on the face of financial statements.
 - Explaining the accounting policies used.

Problems MyLab Accounting

All of the Group A and Group B problems can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete these problems using MyLab Accounting.

L0 1

P4-39A. (Learning Objective 1: Expressing an audit opinion) You have just completed the audit of four companies: Summer, Autumn, Winter, and Spring. The conclusions of the audits are summarized below for each company.

- Summer: Its financial statements fairly represent the company's financial position and performance, but the audit team disagreed with management's use of a particular estimate.
- Autumn: Its financial statements are wrought with errors, as the accountant has completely messed up the translation of various foreign currencies in numerous accounts. As a result, the Balance Sheet, whilst still balanced, is not a faithful representation of the economic phenomenon during the financial period.
- Winter: The accountant was not able to explain numerous discrepancies. One of the major problems was that the receivable, inventory, and payable control accounts do not tally with their respective sub-ledger, making it impossible to audit.
- Spring: The audit highlighted a number of immaterial differences in the calculation of depreciation for the year.

Requirements

Propose the most appropriate type of audit opinion for Summer, Autumn, Winter, and Spring based on the audit notes above.

L0 3

P4-40A. (Learning Objective 3: Preparing a classified Balance Sheet) The accounts of Bay View Services Ltd. as of June 30, 20X5, are listed below in alphabetical order.

Accounts payable.....	\$ 14,400	Note payable, long term.....	\$ 6,000
Accounts receivable.....	16,600	Other assets.....	14,400
Accumulated depreciation— equipment.....	6,900	Prepaid expenses.....	6,000
Advertising expense.....	10,500	Retained earnings, June 30, 20X5.....	21,000
Cash.....	7,900	Salary expense.....	17,600
Current portion of note payable.....	1,000	Salary payable.....	2,700
Depreciation expense.....	1,800	Service revenue.....	95,400
Dividends.....	21,200	Share capital.....	6,600
Equipment.....	51,600	Supplies.....	3,900
Interest expense.....	800	Supplies expense.....	4,500
		Unearned service revenue.....	2,800

Requirements

Prepare the Bay View Services' classified Balance Sheet at June 30, 20X5. Show necessary captions. Note that for this question, you do not need to show comparative amounts.

L0 2 4

P4-41A. (Learning Objectives 2, 4: Aggregating information for presentation on the Income Statement) Robert's Home Repair Services had the following balances at the end of 20X4 and 20X5.

A1					
	A	B	C	D	E
1	Robert's Home Repair Services				
2	Partial Account Listing and Balances				
3	As of December 31, 20X5 and 20X4				
4		20X5	20X4		
5	Sales revenue	\$ 40,800	\$ 32,900		
6	Service revenue	21,300	17,700		
7	Interest income	3,300	2,900		
8	Cost of goods sold	17,200	13,400		
9	Wages and salaries	12,300	10,200		
10	Depreciation	2,700	2,700		
11	Supplies expense	8,800	7,400		
12	Interest expense	600	500		
13	Motor vehicle expense	4,500	3,100		
14	Fuel expense	2,600	1,400		
15	Utilities expense	1,100	2,500		
16	Advertising expense	3,700	3,100		
17	Tax expense	2,400	1,000		

Requirements

1. Assuming that Robert would like to disclose no more than what is required by accounting standards, with the maximum level of aggregation possible, prepare an Income Statement to such effect.
2. Why would it not be possible for Robert to simply show a three-line Income Statement, one that simply lists total revenue, total expenses, and net profit?
3. How should Robert decide which line items are important enough to be shown separately on the Income Statement and which ones to aggregate?

P4-42A. (Learning Objectives 2, 4: Reporting comparative amounts on the Income Statement)

Refer to Robert's Home Repair Services account balances for 20X4 and 20X5 in P4-41A.

Suppose Robert decided to show all the accounts on its Income Statement. In addition, Robert discovered that:

- Supplies expense in 20X4 and 20X5 contained an item amounting to \$500 in each year that is more appropriately classified as advertising expense.
- Other expenses in 20X4 and 20X5 contained an item amounting to \$400 in each year that is more appropriately classified as motor vehicle expense.

L0 2 4

Requirements

Prepare Robert's Income Statement for 20X5 with the appropriate 20X4 comparative amounts.

P4-43A. (Learning Objectives 3, 5: Preparing a note to the financial statement)

Musashi Ltd. commenced operations on January 1, 20X6. On that day, it bought:

- Equipment costing ¥3.6 million, with a useful life of 3 years.
- Furniture and fittings costing ¥2.4 million, with a useful life of 4 years.
- Motor vehicles costing ¥4.5 million, with a useful life of 10 years.

No other PPE was purchased or disposed of during the year.

L0 3 5

■ writing assignment

Requirements

What would Musashi report as PPE on its Balance Sheet? Prepare the notes to the accounts related to PPE. Note that you may need to look at how BASF provided a similar note on its PPE.

P4-44A. (Learning Objectives 2, 5: Understanding materiality, correction of prior period profits)

In December 20X8, just before the financial statements were finalized, James & Jones discovered that a programming error in the calculation of depreciation of specialized, expensive machinery has caused the annual depreciation charge to be erroneously calculated. The error started from the date the machinery was purchased on January 1, 20X2. The error resulted in a

L0 2 5

lower depreciation of \$120,000 per year. Due to a large dividend payment in the previous year, J&J's total equity balance stands at \$1,200,000 at the end of 20X8.

Requirements

In your opinion, is this error material or not material? Why? How should this be rectified in the 20X8 financial statements, if needed?

L0 2 5

■ writing assignment

P4-45A. (Learning Objectives 2, 5: Understanding annual reports and financial statements reporting requirements) Manuel Young, the new accountant of Raffles Place Ltd., was preparing the company's financial statements ending 20X6. During the year, the company:

- Changed the useful life estimates of some assets from 3 to 5 years.
- Had to account for its investment differently due to the publication of a new IFRS.
- Changed its accounting policy on revenue recognition.
- Discovered an error in the 20X5 financial statement.

Manuel is somewhat unsure of what to do next. He has emailed you, his former accounting professor, for advice.

Requirement

Write a reply to Manuel and offer your guidance on the appropriate treatment of the items.

Group B

L0 1

P4-46B. (Learning Objective 1: Expressing an audit opinion) You have just completed the audit of four companies: North, East, West, and South. The conclusions of the audits are summarized below for each company.

- North: The audit highlighted a number of immaterial differences in the calculation of commission expenses for the year.
- East: The accountant was not able to explain numerous discrepancies. One of the major problems was that many customer orders and invoices were missing, making it impossible to audit.
- West: Its financial statements fairly represent the company's financial position and performance, but the audit team disagreed with management's use of a particular accounting policy.
- South: Its financial statements are wrought with errors, as the accountant has completely messed up the translation of the process of consolidating South's subsidiaries. As a result, none of the financial statements faithfully represent the economic phenomenon during the financial period.

Requirements

Propose the most appropriate type of audit opinion for North, East, West, and South based on the audit notes above.

L0 3

P4-47B. (Learning Objective 3: Preparing a classified Balance Sheet) The accounts of Sunny Laundry Services Ltd. as of March 31, 20X5, are listed below in alphabetical order.

Accounts payable.....	\$ 14,800	Note payable, long term.....	\$ 5,900
Accounts receivable.....	16,900	Other assets.....	14,000
Accumulated depreciation— equipment.....	7,300	Prepaid expenses.....	5,800
Advertising expense.....	11,200	Retained earnings, March 31, 2009.....	22,500
Cash.....	7,300	Salary expense.....	18,200
Current portion of note payable.....	500	Salary payable.....	2,600
Depreciation expense.....	2,200	Service revenue.....	95,600
Dividends.....	30,000	Share capital.....	6,200
Equipment.....	44,000	Supplies.....	3,300
Interest expense.....	900	Supplies expense.....	4,500
		Unearned service revenue.....	2,900

Requirements

Prepare the Sunny Laundry Services' classified Balance Sheet at March 31, 20X5. Show necessary captions. Note that for this question, you do not need to show comparative amounts.

P4-48B. (*Learning Objectives 2, 4: Aggregating information for presentation on the Income Statement*) Rupert's Home Repair Services had the following balances at the end of 20X4 and 20X5.

L0 2 4

A1					
	A	B	C	D	E
	Rupert's Home Repair Services Partial Account Listing and Balances As of December 31, 20X5 and 20X4				
1		20X5	20X4		
2	Sales revenue	\$ 39,800	\$ 42,900		
3	Service revenue	11,300	27,700		
4	Interest income	2,300	3,900		
5	Cost of goods sold	13,200	17,400		
6	Wages and salaries	10,300	12,200		
7	Depreciation	2,900	2,900		
8	Supplies expense	7,800	8,400		
9	Interest expense	400	600		
10	Motor vehicle expense	3,500	4,100		
11	Fuel expense	1,600	2,400		
12	Utilities expense	2,100	1,500		
13	Advertising expense	2,700	3,200		
14	Tax expense	1,400	2,000		
15					

Requirements

1. Assuming that Rupert would like to disclose no more than what is required by accounting standards, with the maximum level of aggregation possible, prepare an Income Statement to such effect.
2. Why would it not be possible for Rupert to simply show a three-line Income Statement, one that simply lists total revenue, total expenses, and net profit?
3. How should Rupert decide which line items are important enough to be shown separately on the Income Statement and which ones to aggregate?

P4-49B. (*Learning Objectives 2, 4: Reporting comparative amounts on the Income Statement*)

Refer to Rupert's Home Repair Services account balances for 20X4 and 20X5 in P4-48B.

Suppose Rupert decided to show all the accounts on its Income Statement. In addition, Rupert discovered that:

- Supplies expense in 20X4 and 20X5 contained an item amounting to €800 in each year that is more appropriately classified as advertising expense.
- Other expenses in 20X4 and 20X5 contained an item amounting to €300 in each year that is more appropriately classified as motor vehicle expense.

L0 2 4

Requirements

Prepare Rupert's Income Statement for 20X5 with the appropriate 20X4 comparative amounts.

P4-50B. (*Learning Objectives 3, 5: Preparing a note to the financial statement*) Knight Ltd. commenced operations on January 1, 20X6. On that day, it bought:

- Equipment costing €500,000 million, with a useful life of 5 years.
- Furniture and fittings costing €160,000, with a useful life of 4 years.
- Motor vehicles costing €300,000, with a useful life of 10 years.

Knight depreciates all PPE on a straight-line basis with no residual value. No other PPE was purchased or disposed of during the year.

L0 3 5

■ **writing assignment**

Requirements

What would Knight report as PPE on its Balance Sheet? Prepare the notes to the accounts related to PPE. Note that you may need to look at how BASF provided a similar note on its PPE.

L0 2 5

P4-51B. (*Learning Objectives 2, 5: Understanding materiality, correction of prior period profits*) In December 20X8, just before the financial statements were finalized, Kit & Kat discovered that a programming error in the calculation of depreciation of specialized, expensive machinery had caused the annual depreciation charge to be erroneously calculated. The error started from the date the machinery was purchased on January 1, 20X2. The error resulted in a lower depreciation of €100,000 per year. Due to a large dividend payment in the previous year, Kit & Kat's total equity balance stands at €1,000,000 at the end of 20X8.

Requirements

In your opinion, is this error material or not material? Why? How should this be rectified in the 20X8 financial statements, if needed?

L0 2 5

■ writing assignment

P4-52B. (*Learning Objectives 2, 5: Understanding annual reports and financial statements reporting requirements*) Melvyn Smith, the new accountant of Stamford Place Ltd., was preparing the company's financial statements ending 20X6. During the year, the company:

- Changed the useful life estimates of some assets from 5 to 3 years.
- Had to account for its investment differently due to the publication of a new IFRS.
- Changed its accounting policy on expense capitalization.
- Discovered an error in the 20X5 financial statement.

Melvyn is somewhat unsure of what to do next. He has emailed you, his former accounting professor, for advice.

Requirement

Write a reply to Melvyn and offer your guidance on the appropriate treatment of the items.

APPLY YOUR KNOWLEDGE

Decision Cases

L0 3 4 5

Case 1. (*Learning Objectives 3, 4, 5: Preparing financial statements*) You are the accountant of Majestic Limited, headquartered in Zurich, Switzerland, and have just completed the accounting cycle for the period ended December 31, 20X5. You have performed all necessary adjustments and closing entries to the accounts. The adjusted trial balance (after allocation to function expense categories) is shown as follows, along with comparative figures from the last financial year.

A1					
	A	B		C	
1	(in CHF)	Dec 31, 20X5		Dec 31, 20X4	
2	Account balances	Debits	Credits	Debits	Credits
3	Cash on hand	68,900		51,200	
4	Bank account balances	76,000		55,000	
5	Prepaid insurance	25,800		24,300	
6	Prepaid subscriptions	3,500		2,300	
7	Prepaid rent	10,200		24,300	
8	Trade receivables	80,300		47,000	
9	Advances to employees	43,600		49,400	
10	Interest receivable	26,100		25,300	
11	Other receivables	46,000		60,300	
12	Inventory	50,300		47,000	
13	Vehicles and trucks	60,000		60,000	
14	Acc Depn—Vehicles and trucks		35,000		30,000
15	Furniture and fixtures	43,000		43,000	
16	Acc Depn—Furniture and fixtures		13,500		12,000
17	Office equipment	47,000		47,000	
18	Acc Depn—Office equipment		16,000		14,000
19	Store equipment	36,000		36,000	
20	Acc Depn—Store equipment		15,000		12,000
21	Trade payables		39,900		34,900
22	Dues to employees		27,200		17,700
23	Unearned revenue		22,900		29,100
24	Deferred income		25,000		24,000
25	Accrued liabilities		8,300		13,600
26	Bank loan (due 20X8)		120,000		120,000
27	Notes payable (due 20X6)		40,000		40,000
28	Share capital		169,500		150,000
29	Retained earnings (beginning)		74,800		87,400
30	Dividends paid	80,000		45,000	
31	Sales revenue		166,700		151,100
32	Commission revenue		32,900		26,500
33	Dividend income		49,300		53,800
34	Cost of sales	41,600		39,800	
35	Logistics and distribution expenses	26,900		34,200	
36	Sales and marketing expenses	16,300		35,700	
37	Finance expenses	21,700		22,200	
38	Other administrative expenses	29,100		46,300	
39	Tax expense	23,700		20,800	
40		856,000	856,000	816,100	816,100
41					

Requirement

Prepare the statement of financial position, statement of comprehensive income, and statement of changes in equity in good form, with any relevant accompanying notes to the financial statements. Before aggregating line items, you should consider the key principles outlined in *IAS 1*.

Ethical Issues

Issue 1. James Hardie, the CEO of PAS Software, is having a tough time. The company that he has built over the past 10 years has suffered badly in the global financial crisis. In order to show “acceptable” financial statements to the creditors and investors, James undertook the following:

- Losses from the online advertising division were shown as “extraordinary loss” below net profit, and he explained it away by saying the loss is a one-time occurrence and prospects for a strong rebound are good next year.
- He aggregated many large expenses into a category called “Other operating expenses” and did not provide limited information on the breakdown of this expense.



- A large bank loan is due next year, but in order to show increased liquidity, he has insisted on classifying it as a non-current liability because he believed the bank would be willing to extend the term of the loan.
- He doubled the useful life estimates of almost all his property, plant and equipment items, arguing that the original useful lives were not representative of the assets' usage patterns. He did not provide any information on how much reduction in depreciation expense resulted from this action.

Requirements

Examine James' actions in relation to the presentation requirements for financial statements. How do you think readers of the financial statements would react if they came to know of James' actions?

Focus on Financials: | Nestlé



This case spans all 12 chapters and is based on the consolidated financial statements of Nestlé Corporation. As you work with Nestlé throughout this course, you will develop the confidence and ability to use the financial statements of other companies as well. Refer to Nestlé's consolidated financial statements in Appendix A. If you wish, you can obtain the full annual report from www.nestle.com/investors. You may find the information overwhelming for now, but try to spot the key principles that we have discussed in this chapter. It will get progressively easier as you gain familiarity with the elements of the financial statements.

Requirements

1. Do Nestlé's Balance Sheet and Income Statement conform to requirements of *IAS 1*?
2. Did Nestlé use a single statement or a two separate statements option for its statement of comprehensive income?
3. Why would trade and receivables appear under both current assets and non-current assets? Similarly, why would trade and other payables, provisions, and taxation liabilities appear on both current and non-current liabilities?
4. *IAS 1* does not require three years of Income Statement information. Why do you think Nestlé would go beyond the requirements of an accounting standard?

Group Project

Project 1. You are a member of the selection panel for the "best annual report" competition in your country. Outline the selection criteria you would use in deciding on the winner of the competition.

Project 2. Select three listed companies, visit their websites and, in particular, their "investor relation" sections. Compare the amount of information and resources provided by the three companies. Which company has done the most to meet the information needs of its shareholders and stakeholders?

Quick Check Answers

- | | | | |
|-------------|-------------|--|--------------|
| 1. <i>d</i> | 4. <i>b</i> | 7. <i>d</i> | 9. <i>c</i> |
| 2. <i>c</i> | 5. <i>a</i> | 8. <i>c</i> (cash, inventory,
and receivable) | 10. <i>a</i> |
| 3. <i>b</i> | 6. <i>c</i> | | |

MyLab Accounting

For online homework, exercises, and problems that provide you with immediate feedback, please visit www.myaccountinglab.com.